# BASIC LEASE INFORMATION
(Industrial Service Center Lease Agreement-Net)

Landlord: Transwestern O'Connor Road Business Park, L.P.

A. Building: O'Connor Road Business Center

B. Address (for notices): 5282 Medical Drive, Suite 140
San Antonio, TX 78229
Attn: Property Manager

C. Telephone: 210-616-0765

Tenant: TDIndustries, Inc.

A. Premises: The space containing approximately 12,486 square feet, as shown on Exhibit "B" hereto. (Also see Exhibit B-1 "One Time First Right of Refusal")

B. Address (for notices):

| Prior to occupancy: | After occupancy: |
|---|---|
| TDIndustries, Inc. | TDIndustries, Inc. |
| 13726 Lookout Rd. | 12700 O'Connor Rd. |
| San Antonio, TX 78233-4528 | San Antonio, TX 78233 |
| Attn: Billy Platts | Attn: Billy Platts |
| Telephone: (210) 656-5511 | Telephone: (210) 656-5511 |

Base Rental: Yr. 1: $40,454.64 per yr. Yr. 2-3: $44,949.60 per yr. Yr. 4-5: $49,444.56 per yr.
$ 3,371.22 per mo. $ 3,745.80 per mo. $ 4,120.38 per mo.

Initial Estimated Operating Expense Rental: $16,481.52 per year; $1,373.46 per month
comprised of the following (estimated) components:
taxes: $10,113.66 per year; $842.81 per month
insurance: $749.16 per year; $62.43 per month
common area maintenance: $5,618.70 per year; $468.23 per month
management fees:* per year; * per month
* (Included in common area maintenance)

Security Deposit: $ N/A due and payable upon execution of the Lease.

Prepaid Rental: $ N/A due and payable upon execution of the Lease.

Tenant's Pro Rata Share: .0832 percent (8.32%)

Commencement Date: The earlier of ~~June~~ July 1, 1999, or the date Tenant occupies the Premises, subject to modification pursuant to Paragraph 3(a) of the Lease. 8/AW

Lease Term: A period of sixty (60) months from the Commencement Date; provided that if the Commencement Date is a date other than the first day of a calendar month the Lease Term shall consist of sixty (60) calendar months in addition to the remainder of the calendar month in which the Commencement Date occurs.

Approximate Rentable Area in the Premises: 12,486 square feet of Rentable Area

Approximate Rentable Area in the Project: 150,091 square feet of Rentable Area

Landlord's Agent(s): Transwestern Property Company

Guarantor(s): N/A

Permitted Use: Warehouse and distribution, and/or office use.

The foregoing Basic Lease Information shall be construed in conjunction with the references thereto contained in other provisions of the Lease and shall be limited by such other provisions. Each reference in the Lease to any of the foregoing Basic Lease Information shall be construed to incorporate each term set forth hereinabove as so limited. In the event of any conflict between any Basic Lease Information and the Lease, the terms of the Lease shall control.

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Exhibit "A" - Property Description
Exhibit "B" - Outline and Location of Premises
Exhibit "B-1" - One Time First Right of Refusal
Exhibit "C" - Operating Expense Rental
Exhibit "D" - Work Letter
Exhibit "E" - Rules and Regulations
~~Exhibit "F" - Guaranty of Lease~~
Exhibit "G" - Parking Agreement
Exhibit "H" - Renewal Option

## LEASE AGREEMENT

This Lease Agreement (the "Lease") is made and entered effective February 22, 1999 between Transwestern O'Connor Road Business Park, L.P. ("Landlord") and TDIndustries, Inc. ("Tenant").

W I T N E S S E T H :

1. Definition: The following are definitions of some of the defined terms used in this Lease. The definition of other defined terms are found throughout this Lease.

(a) "Building" shall mean the industrial building located upon the real property (the "Property") described in Exhibit "A" attached hereto and incorporated herein together with all appurtenances thereto.

(b) "Base Rental" shall mean the sum of $ * per month for a total of not less than $ ** during the Lease Term as adjusted pursuant to Paragraph 3 hereto. Tenant shall pay the Base Rental due for the first month during the "Lease Term" (hereinafter defined) to Landlord contemporaneously with the execution hereof.

* Yr. 1 - $3,371.22; Yr. 2-3 - $3,745.80; Yr. 4-5 - $4,120.38

** $229,242.96

(c) "Operating Expenses" shall mean all direct and indirect costs and expenses incurred in connection with the Project as more fully defined in Exhibit "C" attached hereto.

(d) "Security Deposit" shall mean the sum of $ N/A unless increased at some future time pursuant to the terms herein.

(e) "Commencement Date" shall mean the earlier of the date that Tenant actually occupies the Premises or ~~June~~ July 1, 1999 (except as the same may be delayed pursuant to the provisions of Paragraph 3(a) hereof).

(f) "Lease Term": A period of sixty (60) months from the Commencement Date; provided that if the Commencement Date is a date other than the first day of a calendar month the Lease Term shall consist of sixty (60) calendar months in addition to the remainder of the calendar month in which the Commencement Date occurs.

(g) "Premises" shall mean the space located within the Building and outlined on Exhibit "B" to this Lease. The Premises are stipulated for all purposes to contain approximately 12,486 square feet of "Rentable Area" (as defined below).

(h) "Approximate Rentable Area in the Premises" shall mean the area contained within the demising walls of the Premises and any other area designated for the exclusive use of Tenant. For purposes of the lease it is agreed and stipulated by both Landlord and Tenant that the Approximate Rentable Area in the Premises is 12,486 square feet.

The Approximate Rentable Area in the Project is approximately 150,091 square feet. The estimates of Rentable Area within the Premises and within the Project as set forth herein may be revised at Landlord's election if Landlord's architect determines such estimate to be inaccurate in any material degree after examination of the final drawings of the Premises and/or the Project.

(i) "Common Areas" shall mean the portions of the Project which are made available by Landlord for use by more than one tenant, including without limitation (and where applicable) driveways, parking areas and landscaping.

(j) "Building Standard", when used herein, shall mean the type, brand, quality and/or quantity of materials Landlord designates from time to time to be the minimum quality and/or quantity to be used in the Building or the exclusive type, grade, quality and/or quantity of material to be used in the Building and shall include, but not be limited to, the Building Standard Materials defined in the Work Letter Agreement attached hereto as Exhibit "D".

(k) "Maximum Rate", when used herein, shall mean the greatest of the rates of interest from time to time permitted under applicable federal and state law. To the extent of the applicable state and federal law , the Maximum Rate shall be the highest permitted rate based upon the "indicated rate ceiling", but to the extent now or hereafter permitted by law, Landlord may from time to time implement, withdraw and reinstate any ceiling as an alternative to the indicated rate ceiling, including the right to reinstate the indicated rate ceiling.

(l) "Prime Rate" shall mean the per annum interest rate announced by and quoted by Chase Bank (or another money center bank selected by Landlord) from time to time (whether or not charged in each instance) as its prime or base rate.

(m) "Guarantor(s)" shall mean N/A and any other party required by Landlord to guarantee Tenant's obligations under the Lease.

(n) "Project" means the Property, all improvements on the Property including without limitation the Building and any parking area or facilities thereon, and any adjacent land (and the improvements thereon) owned or leased by Landlord and either used for additional parking for the benefit of the Building or otherwise operated by Landlord (together with the Property) as an integrated project.

(o) "Default Rate" means the lower of (i) the Prime Rate plus six percent (6%) or (ii) the Maximum Rate.

(p) "State" means the state in which the Project is located.

(q) "Tenant's Pro Rata Share" means the fraction, the numerator of which is the Rentable Area of the Premises and the denominator of which is the Rentable Area of the Project, expressed as a percentage.

2. Lease Grant. Subject to and upon the terms herein set forth, Landlord leases to Tenant and Tenant leases from Landlord the Premises.

3. Declaration of Commencement.

(a) Subject to and upon the terms and conditions set forth in this Lease, this Lease shall continue in force for the Lease Term. Notwithstanding the Commencement Date provided in Paragraph l(e) of this Lease, Tenant's obligation for the payment of rent and the Lease Term shall not commence until Landlord has substantially completed all work to be performed by Landlord as set forth in the Work Letter Agreement attached hereto as Exhibit "D"; provided, however, that if Landlord shall be delayed in substantially completing said work as a result of any of the following (a "Delay"):

(i) Tenant's failure to furnish information in accordance herewith or to respond to any request by Landlord for any approval or information within any time period prescribed, or if no time period is prescribed, then within two Business Days of such request; or

(ii) Tenant's insistence on materials, finishes or installations other than Landlord's Building Standard after having first been informed by Landlord in writing at or before the time of delivery to Tenant of final construction pricing for Tenant's approval that such materials, finishes or installations will cause a Delay; or

(iii) Tenant's changes in any plans and specifications; or

(iv) The performance by a person, firm or corporation employed by Tenant in the completion of any work by said person, firm or corporation (all such work and such persons, firms or corporations being subject to the approval of Landlord); or

(v) Any request by Tenant that Landlord delay the completion of any of Landlord's work; or

(vi) Any breach or default by Tenant in the performance of Tenant's obligations under this Lease; or

(vii) Any delay resulting from Tenant's having taken possession of the Premises prior to its being substantially completed, as defined below; or

(viii) Any reasonably necessary displacement of any of Landlord's work from its place in Landlord's construction schedule resulting from any of the causes for Delay; or

(ix) Any other delay chargeable to Tenant, its agents, employees or independent contractors;

then the commencement of the Lease Term and the payment of rent shall be accelerated by the number of days of such Delay but in no event shall such commencement be prior to the Commencement Date stipulated in Paragraph 1(e) hereof. The Premises shall be deemed to be substantially completed on the date that Landlord or Landlord's architect reasonably determines that all work to be performed by Landlord pursuant to this Lease has been performed other than punch list items. The term "punch list items" as used herein shall mean any details of construction, mechanical adjustment or other matter, the noncompletion of which does not materially interfere with Tenant's use of the Premises. The abatement of rent shall be Tenant's sole remedy and shall constitute full settlement of all claims that Tenant might otherwise have against Landlord by reason of the Premises not being ready for occupancy by Tenant on the Commencement Date. If for any reason Tenant takes possession of the Premises prior to substantial completion, Tenant's obligation to pay rent shall commence upon the date Tenant takes possession of the Premises and Tenant shall indemnify and hold Landlord harmless from any liability as a result of Tenant's early occupancy of the Premises. Landlord's determination of the Commencement Date shall be final and binding on all parties for all purposes hereof, including, without limitation, determination of the date of commencement of the Lease Term and of Tenant's obligation to pay rent hereunder.

(b) The taking of possession of the Premises by Tenant shall be conclusive evidence against Tenant that, except for the completion of any items which Landlord stipulates in writing are remaining to be done or corrected by Landlord, (i) Tenant warrants and represents to Landlord that it has conducted its own independent investigation of the Premises and the Project and that the Premises and the Project are suitable for the purpose for which the same are leased, subject to any latent defect which is not discoverable upon reasonable inspection, (ii) the Premises and the Project and each and every part and appurtenance thereof are in good and satisfactory condition, except for any latent defect which is not discoverable upon a reasonable inspection, and (iii) Tenant waives any defects in the Premises and its appurtenances and in all other parts of the Project and the appurtenances thereto, except for any latent defect which is not discoverable upon a reasonable inspection.

4. Use.

(a) The Premises shall be used for the Permitted Use and for no other purpose. No retail sales may be made from the Premises (other than incidental retail sales from a showroom area). Tenant shall not use the Premises to receive, store or handle any product, material or merchandise that is explosive or highly inflammable or hazardous. Outside storage is prohibited. Tenant shall be solely responsible (at Tenant's sole cost and expense) for complying with all laws applicable to the use, occupancy, and condition of the Premises, including without limitation obtaining all required building permits and/or certificates of occupancy. Tenant shall not permit any objectionable or unpleasant odors, smoke, dust, gas, light, noise or vibrations to emanate from the Premises; nor take any other action that would in Landlord's sole judgment constitute a nuisance or would disturb, unreasonably interfere with, or endanger Landlord or any other person; nor permit the Premises to be used for any purpose or in any manner that would (1) void the insurance thereon, (2) increase the insurance risk, or (3) cause the disallowance of any sprinkler credits. Tenant shall pay to Landlord on demand any increase in the cost of any insurance on the Premises or the Building incurred by Landlord which is caused by Tenant's use of the Premises or because Tenant vacates the Premises. Tenant agrees not to use or permit the use of the Premises for any purpose which is illegal or dangerous to life, limb or property.

(b) Tenant will conduct its business and control its agents, servants, employees, customers, licensees, and invitees in such a manner as not to interfere with, annoy or disturb other tenants or Landlord. Tenant will maintain the Premises in a clean and healthful condition, and comply with all laws, ordinances, orders, rules and regulations of any governmental entity with reference to the use, condition or occupancy of the Premises. Tenant, at his expense, will comply with the rules and regulations of the Building adopted and altered by Landlord from time to time and will cause all of its agents, employees, invitees and visitors to do so. A copy of the existing rules and regulations is attached hereto as Exhibit "E" and made a part hereof. Tenant agrees not to commit or allow any waste to be committed on any portion of the Premises, and at the termination of this Lease to deliver up the Premises to Landlord in as good condition as at the Commencement Date, ordinary wear and tear excepted.

5. Base Rental and Operating Expense Rental.

(a) Tenant covenants and agrees to pay during the Lease Term, to Landlord, without any setoff or deduction except as otherwise expressly provided herein, the Base Rental, and all such other sums of money as shall become due hereunder as additional rent, all of which are sometimes herein collectively called "rent." In the event of nonpayment of any such rent, Landlord shall be entitled to exercise all such rights and remedies as are herein provided in the case of the nonpayment of Base Rental. Except as otherwise provided herein, the annual Base Rental for each calendar year or portion thereof during the Lease Term, together with any estimated Operating Expense Rental pursuant to Exhibit "C" hereof then in effect, shall be due and payable in advance in twelve (12) equal installments on the first day of each calendar month during the initial term of this Lease and any extensions or renewals hereof, and Tenant hereby agrees to pay such Base Rental and Operating Expense Rental to Landlord at Landlord's address provided herein (or such other address as may be designated by Landlord in writing from time to time) monthly, in advance, and without demand. If the term of this Lease commences on a day other than the first day of a month or terminates on a day other than the last day of a month, then the installments of Base Rental and Operating Expense Rental for such month or months shall be prorated, based on the number of days in such month. The Base Rental and Operating Expense Rental for the first partial month, if any, shall be payable at the beginning of said period. All such payments shall be by a good and sufficient check (subject to collection) drawn on a bank acceptable to Landlord. No payment by Tenant or receipt or acceptance by Landlord of a lesser amount than the correct installment of rent due under this Lease shall be deemed to be other than a payment on account of the earliest rent due hereunder, nor shall any endorsement or statement on any check or any letter accompanying any check or payment be deemed an accord and satisfaction, and Landlord may accept such check or payment without prejudice to Landlord's right to recover the balance or pursue any other remedy provided by this Lease or applicable law. The acceptance by Landlord of an installment of rent on a date after the due date of such payment shall not be construed to be a waiver of Landlord's right to declare a default for any other late payment. If Tenant fails to timely pay any two (2) installments of rent, Landlord at its sole option may 1) require Tenant to pay rent (as estimated by Landlord, if necessary) quarterly in advance, and, in such event, all future payments shall be made on or before the due date in cash or by cashier's check or money order, and the delivery of Tenant's collectible personal or corporate check shall no longer constitute payment thereof or, 2) Landlord may require that the Tenant deposit an additional Security Deposit equal to 3 months rent, from which Landlord, at his or her sole discretion, may satisfy any future late payments made by Tenant, and Tenant shall be required to maintain such additional Security Deposit levels throughout the remaining Security Deposit as described in subsection 2) above, then Tenant shall have 5 days to deposit such additional Security Deposit as required above. Nothing in this section shall relieve Tenant from its duties to pay Late Charges as hereinafter provided. Any acceptance of Tenant's collectible personal or corporate check thereafter by Landlord shall not be construed as a waiver of the requirement that such payments be made in cash or by cashier's check or money order. All amounts received by Landlord from Tenant hereunder shall be applied first to the earliest accrued and unpaid rent then outstanding.

(b) To the extent allowed by law: all installments of rent not paid when due shall bear interest at the Default Rate from the date due until paid; and, in addition, all installments of rent not paid within seven (7) days of when due and payable shall incur a Late Charge equal to five percent (5%) of the outstanding balance due.

(c) Tenant agrees to pay Operating Expense Rental (as defined in Exhibit "C") in accordance with such Exhibit and subsection 5(a) above.

6. Security Deposit. The Security Deposit shall be held by Landlord without liability for interest and as security for the performance by Tenant of Tenant's covenants and obligations under this Lease, it being expressly understood that the Security Deposit shall not be considered an advance payment of rent or a measure of Tenant's liability for damages in case of default by Tenant. Landlord may, from time to time, without prejudice to any other remedy and without waiving such default, use the Security Deposit to the extent necessary to cure any default of Tenant hereunder. Following any such application of the Security Deposit, Tenant shall pay to Landlord on demand the amount so applied in order to restore the Security Deposit to its original amount. If Tenant is not in default at the termination of this Lease, the balance of the Security Deposit remaining after any such application shall be returned by Landlord to Tenant. If Landlord transfers its interest in the Premises during the term of this Lease, Landlord may assign the Security Deposit to the transferee and thereafter shall have no further liability for the return of such Security Deposit. Tenant agrees to look solely to such transferee or assignee or successor thereof for the return of the Security Deposit. Landlord and its successors and assigns shall not be bound by any actual or attempted assignment or encumbrance of the Security Deposit by Tenant. If Tenant is in default under this Lease more than two times within any twelve-month period, irrespective of whether or not such default is cured, then, without limiting Landlord's other rights and remedies provided for in the Lease or at law or equity, the Security Deposit shall automatically be increased by an amount equal to the greater of (i) three times the original Security Deposit, or (ii) the sum of three months' Base Rental and Operating Expense Rental. Such additional Security Deposit shall be paid by Tenant to Landlord forthwith on demand.

7. Landlord's Maintenance.

(a) This Lease is intended to be a net lease; accordingly, Landlord's maintenance obligations are limited to the replacement of the Building's roof and maintenance of the foundation and structural members of the exterior walls (collectively, the "**Building's Structure**"); however, Landlord shall not be responsible (i) for any such work until Tenant delivers to Landlord written notice of the need therefor or (ii) for alterations to the Building's Structure required by Law because of Tenant's use of the Premises (which alterations shall be performed by Tenant). The Building's Structure does not include skylights, windows, glass or plate glass, doors, special store fronts or office entries, all of which shall be maintained by Tenant. Landlord's liability for any defects, repairs, replacement or maintenance for which Landlord is responsible hereunder shall be limited to the cost of performing such work.

(b) Landlord may perform Tenant's maintenance, repair and replacement obligations and any other items that are otherwise Tenant's obligations under Paragraph 8, in which event Tenant shall pay to Landlord any cost incurred by Landlord in performing such obligations, together with ten percent (10%) thereof to cover Landlord's overhead, within ten (10) days after Landlord's request therefor.

8. Tenant's Maintenance and Repair Obligations.

(a) Tenant shall maintain all parts of the Premises (except for maintenance work which Landlord is expressly responsible for under Paragraph 7 in good condition and promptly make all necessary repairs and replacements to the Premises.

(b) Tenant shall maintain the parking areas, driveways, alleys and grounds surrounding the Premises in a clean and sanitary condition, consistent with the operation of a first-class office/warehouse building, including, without limitation, prompt maintenance, repairs and replacements of (i) any drill or spur track servicing the Premises, (ii) the exterior of the Building (including painting), (iii) sewage lines, and (iv) any other items normally associated with the foregoing. Tenant shall repair and pay for any damage caused by a Tenant Party (defined below) or caused by Tenant's default hereunder.

(c) Tenant shall maintain the hot water equipment and the heating, air condition, and ventilation equipment and system (the "**HVAC System**") in good repair and condition and in accordance with applicable law and with such equipment manufacturers' suggested operation/maintenance service program. Within thirty (30) days after the Commencement Date, Tenant shall enter into regularly scheduled preventive maintenance/service contracts for such equipment, each in form and substance and with a contractor reasonably acceptable to Landlord, and deliver copies thereof to Landlord. At least 14 days before the end of the Term, Tenant shall deliver to Landlord a certificate from an engineer reasonably acceptable to Landlord certifying that the hot water equipment and the HVAC System are then in good repair and working order.

9. Alterations.

(a) Except as otherwise provided in the Work Letter Agreement attached hereto as Exhibit "D", all installations and improvements now or hereafter placed on or in the Premises shall be subject to the provisions of this Paragraph 9 hereof and shall be for Tenant's account and at Tenant's cost (and Tenant shall pay ad valorem taxes and increased insurance thereon or attributable thereto), which cost shall be payable by Tenant to Landlord upon demand as additional rent. Such additional rent shall not be construed as including taxes assessed against improvements in the Premises which are subject to personal property taxes. Such personal property taxes shall remain the sole responsibility of the Tenant.

(b) Tenant shall not make any alterations, additions or improvements to the Premises without the prior written consent of Landlord. Landlord shall not be required to notify Tenant of whether it consents to any alteration, addition or improvements until it (1) has received plans and specifications therefor which are sufficiently detailed to allow construction of the work depicted thereon to be performed in a good and workmanlike manner, and (2) has had a reasonable opportunity to review them. If the alteration, addition or improvement will affect the Building's Structure, HVAC System, or mechanical, electrical, or plumbing systems, then the plans and specifications therefor must be prepared by a licensed engineer reasonably acceptable to Landlord. Landlord's approval of any plans and specifications shall not be a representation that the plans or the work depicted thereon will comply with law or be adequate for any purpose, but shall merely be Landlord's consent to performance of the work. Upon completion of any alteration, addition, or improvement, Tenant shall deliver to Landlord accurate, reproducible as-built plans therefor. Tenant may erect shelves, bins, machinery and trade fixtures provided that such items (i) do not alter the basic character of the Premises or the Building; (ii) do not overload or damage the same; and (iii) may be removed without damage to the Premises. Unless Landlord specifies in writing otherwise, all alterations, additions, and improvements shall be Landlord's property when installed in the Premises. All work performed by a Tenant Party in the Premises (including that relating to the installations, repair, replacement, or removal of any item) shall be performed in accordance with applicable law and with Landlord's specifications and requirements, in a good and workmanlike manner, and so as not to damage or alter the Building's Structure or the Premises.

10. Signs. Tenant shall not place, install or attach any signage, decorations, advertising media, blinds, draperies, window treatments, bars, or security installations to the Premises or the Building without Landlord's prior written approval. Tenant shall repair, paint, and/or replace any portion of the Premises or the Building damaged or altered as a result of its signage when it is removed (including, without limitation, any discoloration of the Building). Tenant shall not (a) make any changes to the exterior of the Premises or the Building, (b) install any exterior lights, decorations, balloons, flags, pennants, banners or paintings, or (c) erect or install any signs, windows or door lettering, decals, window or storefront stickers, placards, decorations or advertising media of any type that is visible from the exterior of the Premises without Landlord's prior written consent. Landlord shall not be required to notify Tenant of whether it consents to any sign until it (i) has received detailed, to-scale drawings thereof specifying design, material composition, color scheme, and method of installation, and (ii) has had a reasonable opportunity to review them.

11. Utilities. Tenant shall obtain and pay for all water, gas, electricity, heat, telephone, sewer, sprinkler charges and other utilities and services used at the Premises, together with any taxes, penalties, surcharges, maintenance charges, and the like pertaining to the Tenant's use of the Premises. Landlord may, at Tenant's expense, separately meter and bill Tenant directly for its use of any such utility service, in which case, the amount separately billed to Tenant for Building-standard utility service shall not be duplicated in Tenant's obligation to pay Operating Expense Rental. Landlord shall not be liable for any interruption or failure of utility service to the Premises. All amounts due from Tenant under this Paragraph 11 shall be payable within ten (10) days after Landlord's request therefor.

12. Entry by Landlord. Landlord and Landlord's agents and representatives may enter the Premises during business hours to inspect the Premises; to make such repairs as may be required or permitted under this Lease; to perform any unperformed obligations of Tenant hereunder; and to show the Premises to prospective purchasers, mortgagees, ground lessors, and (during the last twelve (12) months of the Term) tenants. During the last twelve (12) months of the Term, Landlord may erect a sign on the Premises indicating that the Premises are available. Tenant shall notify Landlord in writing of its intention to vacate the Premises at least sixty (60) days before Tenant will vacate the Premises; such notice shall specify the date on which Tenant intends to vacate the Premises (the "Vacation Date"). At least thirty (30) days before the Vacation Date, Tenant shall arrange to meet with Landlord for a joint inspection of the Premises. After such inspection, Landlord shall prepare a list of items that Tenant must perform before the Vacation Date. If Tenant fails to arrange for such inspection, then Landlord may conduct such inspection and Landlord's determination of the work Tenant is required to perform before the Vacation Date shall be conclusive. If Tenant fails to perform such work before the Vacation Date, then Landlord may perform such work at Tenant's cost. Tenant shall pay all costs incurred by Landlord in performing such work within ten (10) days after Landlord's request therefor.

13. Assignment and Subletting.

(a) Tenant shall not assign, sublease, transfer or encumber this Lease or any interest therein or grant any license, concession, or other right of occupancy of the Premises or any portion thereof or otherwise permit the use of the Premises or any portion thereof by any party other than Tenant (any of which events is hereinafter called an "assignment") without the prior written consent of Landlord. Any such attempted assignment in violation of the terms and covenants of this Paragraph shall, exercisable in Landlord's sole and absolute discretion, be voidable. Consent by Landlord to one or more assignments shall not operate as a waiver of Landlord's rights as to any subsequent assignments. In addition, Tenant shall not, without Landlord's consent, publicly offer to assign the Lease nor advertise the Lease for assignment in any media, including but not limited to newspapers, periodicals, radio, television, circulars or brochures. In the event Tenant or any agent, representative or broker acting on behalf of Tenant or with Tenant's knowledge violates the provisions of the foregoing sentence, in addition to all of the remedies which Landlord may have at law, in equity, or pursuant to the terms of this Lease, Landlord shall be entitled to seek injunctive relief preventing such action and Tenant shall be responsible for all costs incurred by Landlord in connection with seeking such injunctive relief.

(b) If Tenant requests Landlord's consent to an assignment or sublease, Tenant shall submit to Landlord, in writing, the name of the proposed assignee or subtenant and the nature and character of the business of the proposed assignee or subtenant, the term, use, rental rate and all other material terms and conditions of the proposed assignment or sublease including, without limitation, evidence satisfactory to Landlord that the proposed assignee or subtenant is financially responsible. Landlord shall within thirty (30) days after Landlord's receipt of such written request and information either (i) consent to or refuse to consent to such assignment or sublease in writing (but no such consent to an assignment or sublease shall relieve Tenant or any guarantor of Tenant's obligations under this Lease of any liability hereunder) (ii) in the event of a proposed assignment of this Lease or a proposed sublease of the entire Premises for the entire remaining term of this Lease, terminate this Lease effective the first to occur of ninety (90) days following written notice of such termination or the date that the proposed assignment or proposed sublease would have come into effect. If Landlord should fail to notify Tenant in writing of its decision within such thirty (30) day period after the later of the date Landlord is notified in writing of the proposed assignment or sublease or the date Landlord has received all required information concerning the proposed assignee or subtenant and the proposed assignment or sublease, Landlord shall be deemed to have refused to consent to such assignment or sublease, and to have elected to keep this Lease in full force and effect. In the event Landlord consents to any such assignment, the assignment or sublease shall be on a form approved by Landlord, and Tenant shall bear all costs and expenses incurred by Landlord in connection with the review and approval of such documentation. In no event shall the proposed assignee or subtenant be an existing occupant of any space in the Building or an affiliate of such occupant.

(c) All cash or other proceeds of any assignment of Tenant's interest in this Lease and/or the Premises, whether consented to by Landlord or not, shall be paid to Landlord notwithstanding the fact that such proceeds exceed the rentals called for hereunder, unless Landlord agrees to the contrary in writing, and Tenant hereby assigns all rights it might have or ever acquire in any such proceeds to Landlord. In addition to the rent hereunder, Tenant hereby covenants and agrees to pay to Landlord all rent and other consideration which it receives which is in excess of the rent payable hereunder within ten (10) days following receipt thereof by Tenant. This covenant and assignment shall benefit Landlord and its successors in ownership of the Building and shall bind Tenant and Tenant's heirs, executors, administrators, personal representatives, successors and assigns. In addition to any other rights and remedies which Landlord may have hereunder, at law or in equity, in the event Tenant has failed to pay any rent due hereunder on or before five (5) days following the date on which it is due, Landlord shall have the right to contact any assignee and require that from that time forward all payments made pursuant to the assignment shall be made directly to the Landlord. Any assignee of Tenant's interest in this Lease (all such assignees being hereinafter referred to as "Successors"), by occupying the Premises and/or assuming Tenant's obligations hereunder, shall be deemed to have assumed liability to Landlord for all amounts paid to persons other than Landlord by such Successors in consideration of any such assignment in violation of the provisions hereof.

(d) If Tenant is a corporation and if at any time during the Lease Term the person or persons who own the voting shares at the time of the execution of this Lease cease for any reason, including but not limited to merger, consolidation or other reorganization involving another corporation, to own a majority of such shares or if Tenant is a partnership and if at any time during the Lease Term the general partner or partners who own the general partnership interests in the partnership at the time of the execution of this Lease, cease for any reason to own a majority of such interests (except as the result of transfers by gift, bequest or inheritance to or for the benefit of members of the immediate family of such original shareholder(s) or partner(s)), such an event shall be deemed to be an assignment. The preceding sentence shall not apply whenever Tenant is a corporation the outstanding stock of which is listed on a recognized security exchange, or if at least eighty per cent (80%) of its voting stock is owned by another corporation, the voting stock of which is so listed.

(e) Tenant shall, despite any permitted assignment or sublease, remain directly and primarily liable for the performance of all of the covenants, duties, and obligations of Tenant hereunder and Landlord shall be permitted to enforce the provisions of this Lease against Tenant or any assignee or sublessee without demand upon or proceeding in any way against any other person. Moreover, in the event that the rental due and payable by a sublessee (or a combination of the rental payable under such sublease, plus any bonus or other consideration thereof incident thereto) exceeds the rent payable under this Lease, or if with respect to a permitted assignment, permitted license, or other transfer by Tenant permitted by Landlord, the total consideration payable to Tenant by the assignee, licensee or other transferee exceeds the rent payable under this Lease, then Tenant shall be bound and obligated to pay Landlord all such excess rental and other excess consideration within ten (10) days following receipt thereof by Tenant from such sublessee, assignee, licensee or other transferee, as the case may be.

14. Mechanic's Liens. Tenant will not permit any mechanic's liens or other liens to be placed upon the Premises, the Building, or the Property and nothing in this Lease shall be deemed or construed in any way as constituting the consent or request of Landlord, express or implied, by inference or otherwise, to any person for the performance of any labor or the finishing of any materials to the Premises, the Building, or the Property or any

part thereof, nor as giving Tenant any right, power, or authority to contract for or permit the rendering of any services or the furnishing of any materials that would give rise to any mechanic's or other liens against the Premises, the Building, or the Property. In the event any such lien is attached to the Premises, the Building, or the Property, then, in addition to any other right or remedy of Landlord, Landlord may, but shall not be obligated to, discharge the same. Any amount paid by Landlord for any of the aforesaid purposes including, but not limited to, attorneys fees, shall be paid by Tenant to Landlord promptly on demand as additional rent. In the event Landlord does consent to the performance of any labor or the furnishing of any materials to the Premises, the Building, or the Property by any party, which consent must be in writing, Tenant shall be responsible for insuring that all such persons procure and maintain insurance coverage against such risks, in such amounts and with such companies as Landlord may require, including, but not limited to, Builder's Risk and Worker's Compensation insurance. **Tenant shall within ten (10) days of receiving such notice of lien or claim (a) have such lien or claim released or (b) deliver to landlord a bond in form, content, amount and issued by a surety satisfactory to Landlord, indemnifying, protecting, defending and holding harmless the Indemnities against all costs and liabilities resulting from such lien or claim and the foreclosure or attempted foreclosure thereof.**

15. Property Insurance.

(a) Landlord shall maintain fire and extended coverage insurance on the Building in such amounts as Landlord elects. The cost of such insurance shall be included as a part of Operating Expenses and payments for losses thereunder shall be made solely to Landlord or the mortgagees of Landlord as their interests shall appear.

(b) Tenant shall maintain at its expense, in an amount equal to full replacement cost, fire and extended coverage insurance on all of its personal property, including removable trade fixtures and leasehold and tenant improvements, located in the Premises and in such additional amounts as are required to meet Tenant's obligations pursuant to Paragraph 19 hereof and with deductibles in an amount reasonably satisfactory to Landlord. Tenant shall furnish evidence satisfactory to Landlord of the maintenance and timely renewal of such insurance, and Tenant shall obtain and deliver to Landlord a written obligation on the part of each insurer to notify Landlord at least sixty (60) days prior to the modification, cancellation or expiration of such insurance policies. In the event Tenant shall not have delivered to Landlord a policy or certificate evidencing such insurance at least sixty (60) days prior to the expiration date of each expiring policy, Landlord may obtain such insurance as Landlord may reasonably require to protect Landlord's interest (which obtaining of insurance shall not be deemed to be a waiver of Tenant's default hereunder). The cost to Landlord of obtaining such policies, plus an administrative fee in the amount of ten percent (10%) of the cost of such policies shall be paid by Tenant to Landlord as additional rent upon demand.

16. Liability Insurance.

Tenant and Landlord shall each maintain during the term of this Lease a policy or policies of commercial general liability insurance (including endorsement or separate policy for owned or non-owned automobile liability) with respect to the respective activities of each in the Building and on the Property, with the premiums thereon fully paid on or before the due date, issued by and binding upon an insurance company or companies approved by Landlord. Such insurance shall afford minimum protection of not less than $ 1,000,000.00 per occurrence per person coverage for bodily injury, property damage, personal injury, or combination thereof. The term "personal injury" herein used means false arrest, detention or imprisonment, malicious prosecution, wrongful entry, libel and slander. If only a combined single limit coverage is available, it shall be for at least $ 1,000,000.00 per occurrence with an umbrella policy of at least $3,000,000.00 combined single limit per occurrence. Tenant's insurance policy shall name Landlord as an additional insured and shall include coverage for the contractual liability of Tenant to indemnify Landlord pursuant to Paragraph 18 of this Lease and shall have deductibles in an amount reasonably satisfactory to Landlord. Tenant shall furnish certificates of such insurance and such other evidence satisfactory to Landlord of the maintenance of all insurance coverages required hereunder, and Tenant shall obtain a written obligation on the part of each insurance company to notify Landlord at least 30 days before cancellation of a material change of any such insurance. All such insurance policies shall be in form and issued by companies reasonably satisfactory to Landlord. The insurance carried by Tenant pursuant to this subparagraph shall be at Tenant's sole cost and expense; and the insurance carried by Landlord pursuant to this subparagraph shall be included in Operating Expenses.

17. Forms of Policies; Increase in Premiums, Waiver of Claims.

(a) The insurance requirements set forth in Paragraphs 15 and 16 are independent of the waiver, indemnification, and other obligations under this Lease and will not be construed or interpreted in any way to restrict, limit or modify the waiver, indemnification and other obligations or to in any way limit any party's liability under this Lease. In addition to the requirements set forth in Paragraphs 15 and 16, the insurance required of Tenant under this Lease must be issued by an insurance company with a rating of no less than A-VIII in the current Best's Insurance Guide, or A- in the current Standard & Poor Insurance Solvency Review, or that is otherwise acceptable to Landlord, and admitted to engage in the business of insurance in the State; be primary insurance for all claims under it and provide that any insurance carried by Landlord and Landlord's lenders is strictly excess, secondary and noncontributing with any insurance carried by Tenant; and provide that insurance may not be canceled, nonrenewed or the subject of material change in coverage or available limits of coverage, except upon thirty (30) days' prior written notice to Landlord and Landlord's lenders. Tenant will deliver either a duplicate original or a legally enforceable certificate of insurance on all policies procured by Tenant in compliance with Tenant's obligations under this Lease, together with evidence satisfactory to Landlord of the payment of the premiums therefor, to Landlord on or before the date Tenant first occupies any portion of the Premises, at least thirty (30) days before the expiration date of any policy and upon the renewal of any policy. Landlord must give its prior written approval to all deductibles and self-insured retentions under Tenant's policies. Tenant may comply with its insurance coverage requirements through a blanket policy, provided Tenant, at Tenant's sole expense, procures a "per location" endorsement, or equivalent reasonably acceptable to Landlord, so that the general aggregate and other limits apply separately and specifically to the Premises.

(b) If Tenant's business operations, conduct or use of the Premises or any other part of the Project causes an increase in the premium for any insurance policy carried by Landlord, Tenant will, within ten (10) days after receipt of notice from Landlord, reimburse Landlord for the entire increase.

(c) Notwithstanding anything herein to the contrary, each of Landlord and Tenant hereby waives all claims and causes of action (including claims of subrogation on behalf of its insurer) against the other and the other's agents, officers and employees to the extent that the loss or damage to any property, or bodily injury or personal injury, to which such claim or cause of action relates is covered by insurance carried or required to be carried by such waiving party. The parties expressly acknowledge and agree that such waiver extends to claims of negligence by such other party, its agents, officers and employees (and with respect to Landlord, the Project manager).

18. Indemnity. Neither Landlord nor any of its officers, directors, employees, or agents shall be liable to Tenant, or to Tenant's agents, servants, employees, customers, licensees, or invitees for any injury to person or damage to property caused by any act, omission, or neglect of Tenant, its agents, servants, employees, customers, invitees, licensees or any other person entering the Building or upon the Project under the invitation of Tenant or arising out of the use of the Project, Building or Premises by Tenant (each, a "**Tenant Party**") and the conduct of its business or out of a default by Tenant in the performance of its obligations hereunder. Tenant hereby indemnifies and holds Landlord and its officers, directors, employees and agents ("**Indemnitees**"), harmless from all liability and claims for any property damage, or bodily injury or death of, or personal injury to, a person in or on the Premises, or at any other place, including the Project or the Building, caused, in whole or in part, by Tenant or any Tenant Party and this indemnity shall be enforceable to the full extent whether or not such liability and claims are the result of the sole, joint or concurrent acts, negligent or intentional, or otherwise, of Tenant, or any Tenant Party. **Such indemnity for the benefit of Indemnitees shall be enforceable even if Indemnitees, or any one or more of them have or has caused or participated in causing such liability and claims by their joint or concurrent acts, negligent or intentional, or otherwise.** Notwithstanding the terms of this Lease to the contrary, the terms of this paragraph shall survive the expiration or earlier termination of this Lease.

19. Casualty Damage.

(a) If the Premises or any part thereof shall be damaged by fire or other casualty, Tenant shall give prompt written notice thereof to Landlord. In case the Building shall be so damaged that substantial alteration or reconstruction of the Building shall, in Landlord's sole opinion, be required (whether or not the Premises shall have been damaged by such casualty) or in the event there is less than one (1) year of the Lease Term remaining or in the event any mortgagee of Landlord's should require that the insurance proceeds payable as a result of a casualty be applied to the payment of the mortgage debt or in the event of any material uninsured loss to the Building, Landlord may, at its option, terminate this Lease by notifying Tenant in writing of such termination within sixty (60) days after the date of such casualty. If Landlord does not thus elect to terminate this Lease, and the Lease is not terminated pursuant to subparagraph (c) below, Landlord shall commence and proceed with reasonable diligence to restore the Building, and the improvements located within the Premises to Building Standard condition (except that Landlord shall not be responsible for delays not within the control of Landlord). Notwithstanding the foregoing, Landlord's obligation to restore the Building, and the improvements located within the Premises, if any, for which Landlord had financial responsibility pursuant to the Work Letter Agreement, shall not require Landlord to expend for such repair and restoration work more than the insurance proceeds actually received by the Landlord as a result of the casualty. When the repairs described in the preceding two sentences have been completed by Landlord, Tenant shall complete the restoration of all improvements, including trade fixtures and equipment, which are necessary to permit Tenant's re-occupancy of the Premises. Except as set forth above, all cost and expense of reconstructing the Premises shall be home by Tenant, and Tenant shall present Landlord with evidence satisfactory to Landlord of Tenant's ability to pay such costs prior to Landlord's commencement of repair and restoration of the Premises.

(b) Landlord shall not be liable for any inconvenience or annoyance to Tenant or injury to the business of Tenant resulting in any way from such damage or the repair thereof, except that, subject to the provisions of the next sentence, Landlord shall allow Tenant a fair diminution of rent during the time and to the extent the Premises are unfit for occupancy. If the Premises or any other portion of the Building is damaged by fire or other casualty resulting from the fault or negligence of Tenant or any Tenant Party, the rent hereunder shall not be diminished during the repair of such damage and Tenant shall be liable to Landlord for the cost of the repair and restoration of the Building caused thereby to the extent such cost and expense is not covered by insurance proceeds.

(c) Notwithstanding anything in the Paragraph 19 to the contrary, if all or any portion of the Premises shall be made untenantable by a fire or other casualty, Landlord shall with reasonable promptness, cause an architect or general contractor selected by Landlord to estimate the amount of time required to substantially complete repair and restoration of the Premises and make the Premises tenantable again, using standard working methods (the "Completion Estimate"). If the Completion Estimate indicates that the Premises cannot be made tenantable within twelve (12) months from the date the repair and restoration is started, either party shall have the right to terminate this Lease by giving written notice to the other of such election within ten (10) days after its receipt of the Completion Estimate. Tenant, however, shall not have the right to terminate this Lease in the event that the fire or casualty in question was caused by the negligence or intentional misconduct of Tenant or any Tenant Party or if Tenant is then in default of this Lease. If the Completion Estimate indicates that the Premises can be made tenantable with twelve (12) months from the date the repair and restoration is started and Landlord has not otherwise exercised its right to terminate the Lease pursuant to the terms hereof, or if the Completion Estimate indicates that the Premises cannot be made tenantable with twelve (12) months but neither party terminates this Lease pursuant to this Paragraph 19, Landlord shall proceed with reasonable promptness to repair and restore the Premises.

(d) If pursuant to subparagraph (c) Tenant was entitled to but elected not to exercise its right to terminate the Lease and Landlord does not substantially complete the repair and restoration of the Premises within two (2) months after the expiration of the estimated period of time set forth in the Completion Estimate, which period shall be extended to the extent of any Reconstruction Delays, then (provided Tenant is not then in default hereunder) Tenant may terminate this Lease by written notice to Landlord within fifteen (15) days after the expiration of such period, as the same may be extended (but in all events prior to substantial completion of such repair and restoration). For purposes of this Lease, the term "Reconstruction Delays" shall mean: (i) any delays caused by the insurance adjustment process; (ii) any delays caused by Tenant; and (iii) any delays caused by events of Force Majeure.

20. Damages from Certain Causes. Landlord shall not be liable to Tenant for any injury to person or damage to property sustained by Tenant or any person claiming through Tenant resulting from any accident or occurrence in the Premises or any other portion of the Project caused by the Premises or any other portion of the Building becoming out of repair or by defect in or failure of equipment, pipes, or wiring, or by broken glass, or by the backing up of drains, or by gas, water, steam, electricity, or oil leaking, escaping or flowing into the Premises, nor shall Landlord be liable to Tenant for any loss or damage that may be occasioned by or through the acts or omissions of other tenants of the Building or of any other persons whomsoever, including, but not limited to riot, strike, insurrection, war, court order, requisition, order of any governmental body or authority, acts of God, fire or theft.

21. Condemnation. If more than 50% of the Premises is taken for any public or quasi-public use by right of eminent domain or private purchase in lieu thereof (a "Taking"), and the Taking prevents or materially interferes with the use of the remainder of the Premises for the purpose for which they were leased to Tenant, either party may terminate this Lease by delivering to the other written notice thereof within thirty (30) days after the Taking, in which case rent shall be abated during the unexpired portion of the Term, effective on the date of such Taking. If (a) less than 50% of the Premises are subject to a Taking or (b) more than 50% of the Premises are subject to a Taking, but the Taking does not prevent or materially interfere with the use of the remainder of the Premises for the purpose for which they were leased to Tenant, then neither party may terminate this Lease, but the rent payable during the unexpired portion of the Term shall be reduced to such extent as may be fair and reasonable under the circumstances. All compensation awarded for any Taking shall be the property of Landlord and Tenant assigns any interest it may have in any such award to Landlord; however, Landlord shall have no interest in any award made to Tenant for loss of business or goodwill or for the taking of Tenant's trade fixtures, if a separate award for such items is made to Tenant.

22. Hazardous Substances. Tenant hereby represents and warrants to Landlord the following:

(a) No toxic or hazardous substances or wastes, pollutants or contaminants (including, without limitation, asbestos, urea formaldehyde, the group of organic compounds known as polychlorinated biphenyls, petroleum products including gasoline, fuel oil, crude oil and various constituents of such products, radon, and any hazardous substance as defined in the Comprehensive Environmental Response, Compensation and Liability Act of 1980, 42 U.S.C. 9601-9657, as amended ("CERCLA") (collectively, "Environmental Pollutants") other than customary office supplies and cleaning supplies stored and handled within the Premises in accordance with all applicable laws, will be generated, treated, stored, released or disposed of, or otherwise placed, deposited in or located on the Project, and no activity shall be taken on the Project, by Tenant or any Tenant Party that would cause or contribute to (i) the Project or any part thereof to become a generation, treatment, storage or disposal facility within the meaning of or otherwise bring the Premised within the ambit of the Resource Conservation and Recovery Act of 1976 ("RCRA"), 42 U.S.C. 5901 et. seq., or any similar state law or local ordinance, (ii) a release or threatened release of toxic or hazardous wastes or substances, pollutants or contaminants, from the Project or any part thereof within the meaning of, or otherwise result in liability in connection with the Premises within the ambit of CERCLA, or any similar state law or local ordinance, or (iii) the discharge of pollutants or effluents into any water source or system, the dredging or filling of any waters, or the discharge into the air of any emissions, that would require a permit under the Federal Water Pollution Control Act, 33 U.S.C. 1251 et. seq., or the Clean Air Act, 42 U.S.C. 7401 et. seq. or any similar state law or local ordinance.

**(b) Tenant agrees to indemnify and hold Indemnitees (as defined in Paragraph 17 herein) harmless from and against and to reimburse Indemnitees with respect to, any and all claims, demands, causes of action, loss, damage, liabilities, costs and expenses (including attorneys' fees and court costs) of any and every kind or character, known or unknown, fixed or contingent, asserted against or incurred**

**by Landlord at any time and from time to time by reason of or arising out of the breach of any representation or warranty contained in Paragraph 22. (a) above.**

(c) Tenant shall immediately notify Landlord in writing of any release or threatened release of toxic or hazardous wastes or substances, pollutants or contaminants of which Tenant has knowledge whether or not the release is in quantities that would require under law the reporting of such release to a governmental or regulatory agency.

(d) Tenant shall immediately notify Landlord in writing of any release or threatened release of toxic or hazardous wastes or substances, pollutants or contaminants whether or not the release is in quantities that would require under law the reporting of such release to a governmental or regulatory agency.

(e) Tenant shall also immediately notify Landlord in writing of, and shall contemporaneously provide Landlord with a copy of :

Any written notice of release of hazardous wastes or substances, pollutants or contaminants on the Project that is provided by Tenant or any subtenant or other occupant of the Premises to a governmental or regulatory agency;

Any notice of a violation, or a potential or alleged violation, of any Environmental Law that is received by Tenant or any subtenant or other occupant of the Premises from any governmental or regulatory agency;

Any inquiry, investigation, enforcement, cleanup, removal, or other action that is instituted or threatened by a governmental or regulatory agency against Tenant or any subtenant or other occupant of the Premises and that relates to the release or discharge of hazardous wastes or substances, pollutants or contaminants on or from the Project;

Any claim that is instituted or threatened by any third party against Tenant or any subtenant or other occupant of the premises and that relates to any release or discharge of hazardous wastes or substances, pollutants or contaminants on or from the premises; and

Any notice of the loss of any environmental operating permit by Tenant or any subtenant or other occupant of the Premises.

Failure to comply with this section shall constitute a material default under the Lease. Notwithstanding the terms of this Lease to the contrary, the terms of this paragraph shall survive the expiration or earlier termination of this Lease.

23. Americans with Disabilities Act. Tenant agrees to comply with all requirements of the Americans with Disabilities Act (Public Law (July 26, 1990) applicable to the Premises and such other current acts or other subsequent acts, (whether federal or state) addressing like issues as are enacted or amended. Tenant agrees to indemnify and hold Landlord harmless from any and all expenses, liabilities, costs or damages suffered by Landlord as a result of additional obligations which may be imposed on the Building or the Property under of such acts by virtue of Tenant's operations and/or occupancy, including the alleged negligence of the Landlord. Tenant acknowledges that it will be wholly responsible for any provision of the Lease which could arguably be construed as authorizing a violation of either Act. Any such provision shall be interpreted in a manner which permits compliance with such Act and is hereby amended to permit such compliance.

24. Events of Default/Remedies.

(a) The following events shall be deemed to be events of default under this Lease:

(i) Tenant shall fail to pay when due any Base Rental, Operating Expense Rental or other rent payable by Tenant to Landlord under this Lease (hereinafter sometimes referred to as a "Monetary Default").

(ii) Any failure by Tenant (other than a Monetary Default) to comply with any term, provision or covenant of this Lease, which failure is not cured within ten (10) days after delivery to Tenant of notice of the occurrence of such failure.

(iii) Tenant or any Guarantor shall become insolvent, or shall make a transfer in fraud of creditors, or shall commit an act of bankruptcy or shall make an assignment for the benefit of creditors, or Tenant or any Guarantor shall admit in writing its inability to pay its debts as they become due.

(iv) Tenant or any Guarantor shall file a petition under any section or chapter of the United States Bankruptcy Code, as amended, pertaining to bankruptcy, or under any similar law or statute of the United States or any State thereof, or Tenant or any Guarantor shall be adjudged bankrupt or insolvent in proceedings filed against Tenant or any Guarantor thereunder; or a petition or answer proposing the adjudication of Tenant or any Guarantor as a bankrupt or its reorganization under any present or future federal or state bankruptcy or similar law shall be filed in any court and such petition or answer shall not be discharged or denied within sixty (60) days after the filing thereof.

(v) A receiver or trustee shall be appointed for all or substantially all of the assets of Tenant or any Guarantor or of the Premises or of any of Tenant's property located thereon in any proceeding brought by Tenant or any Guarantor, or any such receiver or trustee shall be appointed in any proceeding brought against Tenant or any Guarantor and shall not be discharged within sixty (60) days after such appointment or Tenant or such Guarantor shall consent to or acquiesce in such appointment.

(vi) The leasehold estate hereunder shall be taken on execution or other process of law in any action against Tenant.

(vii) Tenant shall abandon or vacate any substantial portion of the Premises without the prior written permission of Landlord. If Tenant or any other person acting on Tenant's behalf has removed, is removing or has made preparations to remove (other than in the normal course of business) goods, equipment, fixtures or other property from the Premises in amounts substantial enough to indicate a probable intent to abandon or vacate the Premises without the prior written permission of Landlord, Tenant's abandonment of the Premises shall be deemed conclusively established for all purposes.

(viii) Tenant shall fail to take possession of and occupy the Premises within thirty (30) days following the Commencement Date or thereafter shall fail to conduct continuously its operations in the Premises for the Permitted Use as set forth in Paragraph 4 hereof.

(ix) The liquidation, termination, dissolution, forfeiture of right to do business or death of Tenant or any Guarantor.

(b) Upon the occurrence of any event or events of default under this Lease, whether enumerated in this Paragraph or not, Landlord shall have the option to pursue any one or more of the following remedies without any notice (except as expressly prescribed herein) or demand for possession whatsoever (and without limiting the generality of the foregoing, Tenant hereby specifically waives notice and demand for payment of rent or other obligations due and waives any and all other notices or demand requirements imposed by applicable law):

(i) Terminate this Lease, in which event Tenant shall immediately surrender the Premises to Landlord. If Tenant fails to surrender the Premises upon termination of the Lease hereunder, Landlord may without prejudice to any other remedy which it may have for possession or arrearages in rent, enter upon and take possession of the Premises and expel or remove Tenant and any other person who may be occupying said Premises, or any part thereof, by force, if necessary, without being liable for prosecution or any claim of damages therefor, and Tenant hereby agrees to pay to Landlord on demand the amount of all loss and damage which Landlord may suffer by reason of such termination, whether through inability to relet the Premises on satisfactory terms or otherwise, specifically including but not limited to all Costs of Reletting (hereinafter defined) and any deficiency that may arise by reason of any reletting. If such termination is caused by the failure to pay rent and/or the abandonment of any substantial portion of the Premises, Landlord may elect, by sending written notice thereof to Tenant, to receive liquidated damages in an amount equal to the sum of the Base Rental, Operating Expense Rental and other rent payable hereunder for the month during which the Lease is terminated times the lesser of (A) twelve (12) or (B) the number of months remaining in the Lease Term as of the date of such failure to pay rent and/or abandonment of any substantial portion of the Premises. Such liquidated damages shall be in lieu of the payment of loss and damage Landlord may suffer by reason of such termination as provided in the preceding sentence but shall not be in lieu of or reduce in any way any amount (including accrued rent) or damages due to breach of covenant (whether or not liquidated) payable by Tenant to Landlord which is accrued and outstanding at the time of the termination of the Lease.

(ii) Enter upon and take possession of the Premises and expel or remove Tenant or any other person who may be occupying said Premises, or any part thereof, by force, if necessary, without having any civil or criminal liability therefor and without terminating this Lease. Landlord may (but shall be under no obligation to) relet the Premises or any part thereof for the account of Tenant, in the name of Tenant or Landlord or otherwise, without notice to Tenant for such term or terms which may be greater or less than the period which would otherwise have constituted the balance of the Lease Term and on such conditions (which may include concessions or free rent) and for such uses as Landlord in its absolute discretion may determine, and Landlord may collect and receive any rents payable by reason of such reletting. Tenant agrees to pay Landlord on demand all Costs of Reletting and any deficiency that may arise by reason of such reletting. Landlord shall not be responsible or liable for any failure to relet the Premises or any part thereof or for any failure to collect any rent due upon any such reletting. No such re-entry or taking of possession of the Premises by Landlord shall be construed as an election on Landlord's part to terminate this Lease unless a written notice of such termination is given to Tenant. If Landlord elects to terminate Tenant's right to possession of the Premises without terminating this Lease, Tenant shall continue to be liable for all rent and Landlord shall use reasonable efforts to relet the Premises or any part thereof to a substitute tenant or tenants for a period of time equal to or lesser or greater than the remainder of the Term on whatever terms and conditions Landlord, in Landlord's good faith discretion, deems advisable. For purposes hereof, Landlord shall be deemed to have used "reasonable efforts" to relet if Landlord places its customary "For Lease" sign upon the Premises and places the Premises for lease with a reputable broker. In no event shall Landlord be obligated to lease the Premises in priority to other space within the Project.

(iii) Enter upon the Premises by force if necessary without having any civil or criminal liability therefor, and do whatever Tenant is obligated to do under the terms of this Lease and Tenant agrees to reimburse Landlord on demand for any expense which Landlord may incur in thus affecting compliance with Tenant's obligations under this Lease together with interest at the Default Rate and Tenant further agrees that Landlord shall not be liable for any damages resulting to Tenant from such action, whether caused by the negligence of Landlord or otherwise.

(iv) Terminate this Lease by giving Tenant written notice thereof, in which event, Tenant shall pay to Landlord the sum of (i) all rent accrued hereunder through the date of termination, (ii) all Costs of Reletting, and (iii) an amount equal to (A) the total rent that Tenant would have been required to pay for the remainder of the Lease Term discounted to present value minus (B) the then present fair rental value of the Premises for such period, similarly discounted.

In order to regain possession of the Premises and to deny Tenant access thereto, Landlord or its agent may, at the expense and liability of the Tenant, alter or change any or all locks or other security devices controlling access to the Premises without posting or giving notice of any kind to Tenant. Landlord shall have no obligation to provide Tenant a key or grant Tenant access to the Premises so long as Tenant is in default under this Lease. Tenant shall not be entitled to recover possession of the Premises, terminate this Lease, or recover any actual, incidental, consequential, punitive, statutory or other damages or award of attorneys' fees, by reason of Landlord's alteration or change of any lock or other security device and the resulting exclusion from the Premises of the Tenant or Tenant's agents, servants, employees, customers, licensees, invitees or any other persons from the Premises. Landlord may, without notice, remove and either dispose of or store, at Tenant's expense, any property belonging to Tenant that remains in the Premises after Landlord has regained possession thereof.

(c) For purposes of this Lease, the term "Costs of Reletting" shall mean all costs and expenses incurred by Landlord in connection with the reletting of the Premises, including without limitation the cost of cleaning, renovation, repairs, decoration and alteration of the Premises for a new tenant or tenants, advertisement, marketing, brokerage and legal fees, the cost of protecting or caring for the Premises while vacant, the cost of removing and storing any property located on the Premises, any increase in insurance premiums caused by the vacancy of the Premises and any other out-of-pocket expenses incurred by Landlord including tenant inducements such as the cost of moving the new tenant or tenants and the cost of assuming any portion of the existing lease(s) of the new tenant(s).

(d) Except as otherwise herein provided, no repossession or re-entering on the Premises or any part thereof pursuant to subparagraph (b) hereof or otherwise shall relieve Tenant or any Guarantor of its liabilities and obligations hereunder, all of which shall survive such repossession or re-entering. Notwithstanding any such repossession or re-entering on the Premises or any part thereof by reason of the occurrence of an event of default, Tenant will pay to Landlord the Base Rental, Operating Expense Rental and other rent or other sum required to be paid by Tenant pursuant to this Lease.

(e) No right or remedy herein conferred upon or reserved to Landlord is intended to be exclusive of any other right or remedy, and each and every right and remedy shall be cumulative and in addition to any other right or remedy given hereunder or now or hereafter existing by agreement, applicable law or in equity. In addition to other remedies provided in this Lease, Landlord shall be entitled, to the extent permitted by applicable law, to injunctive relief in case of the violation, or attempted or threatened violation, of any of the covenants, agreements, conditions or provisions of this Lease, or to a decree compelling performance of any of the other covenants, agreements, conditions or provisions of this Lease, or to any other remedy allowed to Landlord at law or in equity. Forbearance by Landlord to enforce one or more of the remedies herein provided upon an event of default shall not be deemed or construed to constitute a waiver of such default.

(f) This Paragraph 24 shall be enforceable to the maximum extent such enforcement is not prohibited by applicable law, and the unenforceability of any portion thereof shall not thereby render unenforceable any other portion. To the extent permitted by applicable law, Tenant waives any statutory rights which conflict with this Paragraph 24. To the extent any provision of applicable law requires some action by Landlord to evidence or effect the termination of this Lease or to evidence the termination of Tenant's right of occupancy, Tenant and Landlord hereby agree that written notice by Landlord to any of Tenant's agents, servants or employees, which specifically sets forth Landlord's intention to terminate, shall be sufficient to evidence and effect the termination herein provided for.

25. <u>Tenant Remedies</u>. Except to the extent specifically provided herein, Tenant shall not have the right to an abatement of rent or to terminate this Lease as a result of Landlord's default as to any covenant or agreement contained in this Lease or as a result of the breach of any promise or inducement in connection herewith, whether in this Lease or elsewhere and Tenant hereby waives such remedies of abatement of rent and termination. Tenant hereby agrees that Tenant's remedies for default hereunder or in any way arising in connection with this Lease

including any breach of any promise or inducement or warranty, express or implied, shall be limited to suit for direct and proximate damages provided that Tenant has given the notices as hereinafter required. Notwithstanding anything to the contrary contained in this Lease, the liability of Landlord to Tenant for any default by Landlord under the terms of this Lease shall be limited to the interest of Landlord in the Building and the Property and Tenant agrees to look solely to Landlord's interest in the Building and the Property for the recovery of any judgment against the Landlord, it being intended that Landlord shall not be personally liable for any judgment or deficiency. Tenant hereby covenants that, prior to the filing of any suit for direct and proximate damages, it shall give Landlord and all mortgagees whom Tenant has been notified hold mortgages or deed of trust liens on the Property, Building or Premises ("Landlord's mortgagees") notice and reasonable time to cure any alleged default by Landlord.

Notwithstanding the foregoing, Tenant shall bring such suit within six months of the Landlord's default hereunder, unless agreed by the parties hereto to extend such time in writing. Tenant's failure to assert such rights within six months shall be construed as a waiver of Tenant's remedies herein.

26. No Waiver. Failure of Landlord to declare any default immediately upon its occurrence, or delay in taking any action in connection with an event of default, shall not constitute a waiver of such default, nor shall it constitute an estoppel against Landlord, but Landlord shall have the right to declare the default at any time and take such action as is lawful or authorized under this Lease. Failure by Landlord to enforce its rights with respect to any one default shall not constitute a waiver of its rights with respect to any subsequent default. Receipt by Landlord of Tenant's keys to the Premises shall not constitute an acceptance of surrender of the Premises.

27. Event of Bankruptcy. In addition to, and in no way limiting the other remedies set forth herein Landlord and Tenant agree that if Tenant ever becomes the subject of a voluntary or involuntary bankruptcy, reorganization, composition, or other similar type proceeding under the federal bankruptcy laws, as now enacted or hereinafter amended, then:

(a) "Adequate protection" of Landlord's interest in the Premises pursuant to the provisions of Section 361 and 363 (or their successor sections) of the Bankruptcy Code, 11 U.S.C. Paragraph 101, et seq. (such Bankruptcy Code as amended from time to time being herein referred to as the "Bankruptcy Code"), prior to assumption and/or assignment of the Lease by Tenant shall include, but not be limited to all (or any part) of the following:

(i) the continued payment by Tenant of the Base Rental, Operating Expense Rental and all other rent due and owing hereunder and the performance of all other covenants and obligations hereunder by Tenant;

(ii) the hiring of security guards to protect the Premises if Tenant abandons and/or ceases operations; such obligation of Tenant only to be effective so long as Tenant remains in possession and control of the Premises to the exclusion of Landlord;

(iii) the furnishing of an additional/new Security Deposit by Tenant in the amount of three (3) times the then-current monthly Base Rental, Operating Expense Rental and other rent payable hereunder.

(b) "Adequate assurance of future performance" by Tenant and/or any assignee of Tenant pursuant to Bankruptcy Code Section 365 will include (but not be limited to) payment of an additional/new Security Deposit in the amount of three (3) times the then-current Base Rental and Operating Expense Rental payable hereunder.

(c) Any person or entity to which this Lease is assigned pursuant to the provisions of the Bankruptcy Code, shall be deemed without further act or deed to have assumed all of the obligations of Tenant arising under this Lease on and after the effective date of such assignment. Any such assignee shall, upon demand by Landlord, execute and deliver to Landlord an instrument confirming such assumption of liability.

(d) Notwithstanding anything in this Lease to the contrary, all amounts payable by Tenant to or on behalf of the Landlord under this Lease, whether or not expressly denominated as "rent", shall constitute "rent" for the purposes of Section 502(b)(6) of the Bankruptcy Code.

(e) If this Lease is assigned to any person or entity pursuant to the provisions of the Bankruptcy Code, any and all monies or other considerations payable or otherwise to be delivered to Landlord (including Base Rental, Operating Expense Rental and other rent hereunder), shall be and remain the exclusive property of Landlord and shall not constitute property of Tenant or of the bankruptcy estate of Tenant. Any and all monies or other considerations constituting Landlord's property under the preceding sentence not paid or delivered to Landlord shall be held in trust by Tenant or Tenant's bankruptcy estate for the benefit of Landlord and shall be promptly paid to or turned over to Landlord.

(f) If Tenant assumes this Lease and proposes to assign the same pursuant to the provisions of the Bankruptcy Code to any person or entity who shall have made a bona fide offer to accept an assignment of this Lease on terms acceptable to the Tenant, then notice of such proposed offer/assignment, setting forth (i) the name and address of such person or entity; (ii) all of the terms and conditions of such offer, and (iii) the adequate assurance to be provided Landlord to assure such person's or entity's future performance under the Lease, shall be given to Landlord by Tenant no later than twenty (20) days after receipt by Tenant, but in any event no later than ten (10) days prior to the date that

Tenant shall make application to a court of competent jurisdiction for authority and approval to enter into such assumption and assignment, and Landlord shall thereupon have the prior right and option, to be exercised by notice to Tenant given at any time prior to the effective date of such proposed assignment, to accept an assignment of this Lease upon the same terms and conditions and for the same consideration, if any, as the bona fide offer made by such persons or entity, less any brokerage commission which may be payable out of the consideration to be paid by such person for the assignment of this Lease.

(g) To the extent permitted by law, Landlord and Tenant agree that this Lease is a contract under which applicable law excuses Landlord from accepting performance from (or rendering performance to) any person or entity other than Tenant within the meaning of Sections 365(c) and 365(e)(2) of the Bankruptcy Code.

28. Peaceful Enjoyment. Tenant shall, and may peacefully have, hold, and enjoy the Premises, subject to the other terms hereof, provided that Tenant pays the rent and other sums herein recited to be paid by Tenant and performs all of Tenant's covenants and agreements herein contained. This covenant and any and all other covenants of Landlord shall be binding upon Landlord and its successors only with respect to breaches occurring during its or their respective periods of ownership of the Landlord's interest hereunder.

29. Parking. Tenant and its employees and invitees shall have the non-exclusive right to use, in common with others, any parking areas associated with the Premises which Landlord has designated for such use, subject to (a) such reasonable rules and regulations as Landlord may promulgate from time to time and (b) rights of ingress and egress of other tenants and their employees, agents and invitees. Landlord shall not be responsible for enforcing Tenant's parking rights against third parties. If Exhibit "G" "Parking Agreement" is attached hereto, the rights of Tenant and its employees and invitees to use the parking areas within the Project are subject to the provisions of such exhibit.

30. Removal of Property at Expiration of Lease; Holding Over.

(a) Any and all alterations, additions, improvements, attached furniture, equipment, fixtures, and any unattached or movable equipment, furniture, trade fixtures or other personalty which was acquired with funds provided by or on behalf of Landlord installed on or located in or around the Premises shall become the property of Landlord upon termination of this Lease. In addition, all other personal property which shall remain in the Premises for more than five (5) days following either the termination of this Lease or the entry of the Premises by Landlord following Tenant's default hereunder shall, at Landlord's option, become the property of Landlord. Landlord may, nonetheless, require Tenant to remove such fixtures, furniture, trade fixtures, equipment, improvements, alterations, additions and personal property, including but not limited to telephone, data, and/or network cabling, installed on or located in the Premises as are designated by Landlord (the "Required Removables") at Tenant's sole cost. In the event that Landlord so elects, and Tenant fails to remove the Required Removables, Landlord may remove the Required Removables at Tenant's cost, and Tenant shall pay Landlord on demand, or Landlord may deduct from Tenant's Security Deposit, all costs incurred in removing, storing and/or disposing of the Required Removables. Landlord, at is sole option, shall inspect any and all alterations and repairs made by or on behalf of the Tenant. All costs associated with the inspection and testing of such alterations or repairs shall be reimbursed to Landlord by Tenant within ten (10) days of such demand. Notwithstanding the terms of this lease to the contrary, the terms of this paragraph shall survive the expiration or earlier termination of this Lease.

(b) In the event of holding over by Tenant after expiration or other termination of this Lease or in the event Tenant continues to occupy the Premises after the termination of Tenant's right of possession pursuant to Paragraph 24(b) hereof, Tenant shall become a Tenant at sufferance and, throughout the entire holdover period, Tenant shall pay rent equal to twice the sum (or 200%) of the greater of (i) then current market rate or (ii) the sum of the Base Rental and Operating Expense Rental which would otherwise have been applicable had the term of this Lease continued through the period of such holding over by Tenant. No holding over by Tenant or payments of money by Tenant to Landlord after the expiration of the term of this Lease shall be construed to extend the term of this Lease or prevent Landlord from recovery of immediate possession of the Premises by summary proceedings or otherwise unless Landlord has sent written notice to Tenant that Landlord has elected to extend the term of the Lease. Tenant shall be liable to Landlord for all damage, including any consequential damage, which Landlord may suffer by reason of any holding over by Tenant and Tenant shall indemnify Landlord against any and all claims made by any other tenant or prospective tenant against Landlord for delay by Landlord in delivering possession of the Premises to such other tenant or prospective tenant.

31. Subordination to Mortgage. Tenant accepts this Lease subject and subordinate to any mortgage, deed of trust or other lien presently existing or hereafter arising upon the Premises, or upon the Building and/or the Property and to any renewals, modifications, refinancings and extensions thereof, but Tenant agrees that any such mortgagee shall have the right at any time to subordinate such mortgage, deed of trust or other lien to this Lease on such terms and subject to such conditions as such mortgagee may deem appropriate in its discretion. This clause shall be self-operative and no further instrument of subordination shall be required. However, Landlord is hereby irrevocably vested with full power and authority to subordinate this Lease to any mortgage, deed of trust or other lien now existing or hereafter placed upon the Premises, or the Building and/or the Property and Tenant agrees upon demand to execute such further instruments subordinating this Lease or attorning to the holder of any such liens as Landlord may request. The terms of this Lease are subject to approval by the Landlord's existing

lender(s) and any lender(s) who, at the time of the execution of this Lease, have committed or are considering committing to Landlord to make a loan secured by all or any portion of the Property, and such approval is a condition precedent to Landlord's obligations hereunder. In the event that Tenant should fail to execute any subordination or other agreement required by this Paragraph promptly as requested, Tenant hereby irrevocably constitutes Landlord as its attorney-in-fact to execute such instrument in Tenant's name, place and stead, it being agreed that such power is one coupled with an interest in Landlord and is accordingly irrevocable. Tenant agrees that it will from time to time upon request by Landlord execute and deliver to such persons as Landlord shall request a statement in recordable form certifying that this Lease is unmodified and in full force and effect (or if there have been modifications, that the same is in full force and effect as so modified), stating the dates to which rent and other charges payable under this Lease have been paid, stating that Landlord is not in default hereunder (or if Tenant alleges a default stating the nature of such alleged default) and further stating such other matters as Landlord shall reasonably require.

32. Estoppel Certificate. Tenant agrees periodically to furnish within ten (10) days after so requested by Landlord, ground lessor or the holder of any deed of trust, mortgage or security agreement covering the Building, the Land, or any interest of Landlord therein, a certificate signed by a Tenant certifying (a) that this Lease is in full force and effect and unmodified (or if there have been modifications, that the same is in full force and effect as modified and stating the modifications), (b) as to the Commencement Date and the date through which Base Rental and estimated Operating Expense Rental have been paid, (c) that Tenant has accepted possession of the Premises and that any improvements required by the terms of this Lease to be made by Landlord have been completed to the satisfaction of Tenant, (d) that except as stated in the certificate no rent has been paid more than thirty (30) days in advance of its due date, (e) that the address for notices to be sent to Tenant is as set forth in this Lease (or has been changed by notice duly given and is as set forth in the certificate), (f) that except as stated in the certificate, Tenant, as of the date of such certificate, has no charge, lien, or claim of offset against rent due or to become due, (g) that except as stated in the certificate, Landlord is not then in default under this Lease, (h) as to the amount of Rentable Area then occupied by Tenant, (1) that there are no renewal or extension options, purchase options, rights of first refusal or the like in favor of Tenant except as set forth in this Lease, (j) the amount and nature of accounts payable to Landlord under terms of this Lease and (k) as to such other matters as may be requested by Landlord or ground lessor or the holder of any such deed of trust, mortgage or security agreement. Any such certificate may be relied upon by any ground lessor, prospective purchaser, secured party, mortgagee or any beneficiary under any mortgage, deed of trust on the Building or the Land or any part thereof or interest of Landlord therein.

33. Attorney's Fees. In the event either party defaults in the performance of any of the terms of this Lease and the other party employs an attorney in connection therewith, the defaulting party agrees to pay the prevailing party's reasonable attorneys' fees.

34. Notice. Any notice in this Lease provided for must, unless otherwise expressly provided herein, be in writing, and may, unless otherwise in this Lease expressly provided, be given or be served by depositing the same in the United States mail, postage paid and certified with return receipt requested, or by prepaid telegram, when appropriate, addressed to the party to be notified at the address stated in this Lease or such other address notice of which has been given to the other party or by delivering the same in person to such party or an officer or partner of such party. Notice deposited in the mail in the manner hereinabove described shall be effective as of the date it is so deposited. Neither party hereto shall be required to send any notice, request, demand, consent, approval, or other communication required or permitted under this lease to more than two (2) other addresses in addition to the premises.

35. Severability. If any term or provision of this Lease, or the application thereof to any person or circumstance shall, to any extent, be invalid or unenforceable, the remainder of this Lease, or the application of such term or provision to persons or circumstances other than those as to which it is held invalid or unenforceable, shall not be affected thereby, and each term and provision of this Lease shall be valid and enforced to the fullest extent permitted by law.

36. Recordation. Tenant agrees not to record this Lease or any memorandum hereof.

37. Governing Law. This Lease and the rights and obligations of the parties hereto shall be interpreted, construed, and enforced in accordance with the laws of the State.

38. Force Majeure. Whenever a period of time is herein prescribed for the taking of any action by Landlord, Landlord shall not be liable or responsible for, and there shall be excluded from the computation of such period of time, any delays due to strikes, riots, acts of God, shortages of labor or materials, war, governmental laws, regulations or restrictions, or any other cause whatsoever beyond the control of Landlord.

39. Time of Performance. Except as expressly otherwise herein provided, with respect to all required acts of Tenant, time is of the essence of this Lease.

40. Transfers by Landlord. Landlord shall have the right to transfer and assign, in whole or in part, all of its rights and obligations hereunder and in the Building and Property referred to herein, and in such event and upon such transfer Landlord shall be released from any further obligations hereunder, and Tenant agrees to look solely to such successor in interest of Landlord for the performance of such obligations.

41. Commissions. Landlord and Tenant hereby indemnify and hold each other harmless against any loss, claim, expense or liability with respect to any commissions or brokerage fees claimed on account of the execution and/or renewal of this Lease due to any action of the indemnifying party.

42. Joint and Several Liability. If there is more than one Tenant, or if the Tenant as such is comprised of more than one person or entity, the obligations hereunder imposed upon Tenant shall be joint and several obligations of all such parties.

43. Authority. In the event Tenant is a corporation (including any form of professional association), partnership (general or limited), or other form of organization other than an individual, then each individual executing or attesting this Lease on behalf of Tenant hereby covenants, warrants and represents: (i) that such individual is duly authorized to execute or attest and deliver this Lease on behalf of Tenant in accordance with the organizational documents of Tenant; (ii) that this Lease is binding upon Tenant; (iii) that Tenant is duly organized and legally existing in the state of its organization, and is qualified to do business in the State; (iv) that upon request, Tenant will provide Landlord with true and correct copies of all organizational documents of Tenant, and any amendments thereto; and (v) that the execution and delivery of this Lease by Tenant will not result in any breach of, or constitute a default under any mortgage, deed of trust, lease, loan, credit agreement, partnership agreement or other contract or instrument to which Tenant is a party or by which Tenant may be bound. If Tenant is a corporation, Tenant will, prior to the Commencement Date, deliver to Landlord a copy of a resolution of Tenant's board of directors authorizing or ratifying the execution and delivery of this Lease, which resolution will be duly certified to Landlord's satisfaction by the secretary or assistant secretary of Tenant.

44. Financial Condition of Tenant. Tenant acknowledges that the financial capability of Tenant to perform its obligations hereunder is material to Landlord and that Landlord would not enter into this Lease but for its belief, based on its review of Tenant's financial statements, that Tenant is capable of performing such financial obligations. Tenant hereby represents, warrants and certifies to Landlord that its financial statements are true and correct in all material respects.

45. Effect of Delivery of This Lease. Landlord has delivered a copy of this Lease to Tenant for Tenant's review only, and the delivery hereof does not constitute an offer to Tenant or option. This Lease shall not be effective until an original of this Lease executed by both Landlord and Tenant and an original Guaranty, if applicable, in the form attached hereto as Exhibit "F" executed by each Guarantor is delivered to and accepted by Landlord, and this Lease has been approved by Landlord's mortgagee.

46. Entire Agreement. This Lease Agreement, including the following Exhibits:
Exhibit "A" - Property Description
Exhibit "B" - Outline and Location of Premises
Exhibit "B-1" - One Time First Right of Refusal
Exhibit "C" - Operating Expense Rental
Exhibit "D" - Work Letter
Exhibit "E" - Rules and Regulations
~~Exhibit "F" - Guaranty of Lease~~
Exhibit "G" - Parking Agreement
Exhibit "H" - Renewal Option

constitute the entire agreement between the parties hereto with respect to the subject matter of this Lease. Tenant expressly acknowledges and agrees that Landlord has not made and is not making, and Tenant, in executing and delivering this Lease, is not relying upon, any warranties, representations, promises or statements, except to the extent that the same are expressly set forth in this Lease. All understandings and agreements heretofore had between the parties are merged in this Lease which alone fully and completely expresses the agreement of the parties, neither party relying upon any statement or representation not embodied in this Lease.

47. No Presumption Against Drafter. Landlord and Tenant understand, agree and acknowledge that (i) this Lease has been freely negotiated by both parties; and (ii) in any controversy, dispute or contest over the meaning, interpretation, validity, or enforceability of this Lease or any of its terms or conditions, there shall be not inference, presumption, or conclusion drawn whatsoever against either party by virtue of that party having drafted this Lease or any portion thereof.

48. Landlord's Lien. In addition to any statutory lien for rent in Landlord's favor, Landlord (the secured party for purposes hereof) shall have and Tenant (the debtor for purposes hereof) hereby grants to Landlord, a continuing security interest for all Base Rental, Operating Expense Rental, rent and other sums of money becoming due hereunder from Tenant, upon all goods, wares, equipment, trade fixtures, furniture, inventory, accounts, contract rights, chattel paper and other personal property of Tenant situated in the Premises and such property shall not be removed therefrom without the consent of Landlord until all arrearages in rent as well as any and all other sums of money then due to Landlord hereunder shall first have been paid and discharged. Fixtures located at the Premises and products of collateral are also covered hereby by the filing hereof in the applicable real property records. In the event of a default under this Lease, Landlord shall have, in addition to any other remedies provided herein or by law, all rights and remedies under the Uniform Commercial Code, including without limitation the right to sell the property described in this Paragraph at public or private sale upon ten (10) days notice to Tenant which notice Tenant hereby agrees is adequate and reasonable. Tenant hereby agrees to execute such other instruments necessary or desirable in Landlord's discretion to perfect the security interest hereby created. Any statutory lien for rent is not hereby waived, the express contractual lien herein granted being in addition and supplementary thereto. Landlord and Tenant agree that this Lease and the security interest granted herein serve as a financing statement and a copy or photographic or other reproduction of this Paragraph of this Lease may be filed of record by Landlord and have the same force and effect as the original. Tenant warrants and represents that the collateral subject to the security interest granted herein is not purchased or used by Tenant for personal, family or household purposes. Tenant further warrants and represents to Landlord that the lien granted herein constitutes a first and superior lien and that Tenant will not allow the placing of any other lien upon any of the property described in this

Paragraph without the prior written consent of Landlord. The Premises is located at 12700 O'Connor Rd, San Antonio, TX 78233, as shown on Exhibit B. Record owner of the Premises is Transwestern O'Connor Road Business Park, L.P. Tenant/Debtor's address is 12700 O'Connor Rd., San Antonio, TX 78233 and Landlord/Secured Party's address is 5282 Medical Dr., Suite 140, San Antonio, TX 78229.

49. Warranty Waiver: LANDLORD, ITS OFFICERS, DIRECTORS, AGENTS, EMPLOYEES, ATTORNEYS AND CONTRACTORS, MAKE NO WARRANTY, EXPRESS OR IMPLIED, WITH RESPECT TO THE PROJECT, PROPERTY, BUILDING OR THE PREMISES OR ITS CONDITION. NO WARRANTY OF MATERIALS, WORKMANSHIP OR APPLIANCES HAS BEEN MADE OR IS EXPRESSED OR IMPLIED BY THIS LEASE. LANDLORD, ITS OFFICERS, DIRECTORS, AGENTS, EMPLOYEES, ATTORNEYS AND CONTRACTORS EXPRESSLY DISCLAIM AND TENANT EXPRESSLY WAIVES ANY WARRANTY OF HABITABILITY, GOOD AND WORKMANLIKE CONSTRUCTION, SUITABILITY, OF DESIGN OR FITNESS FOR A PARTICULAR PURPOSE AND EXPRESSLY DISCLAIM AND TENANT EXPRESSLY WAIVES ANY WARRANTY AS TO THE ENVIRONMENTAL CONDITION OF THE PROJECT, PROPERTY, BUILDING OR PREMISES AND THE PRESENCE OR CONTAMINATION BY HAZARDOUS MATERIALS. TENANT IS NOT RELYING ON ANY REPRESENTATIONS BY LANDLORD OR LANDLORD'S OFFICERS, DIRECTORS, AGENTS, EMPLOYEES, ATTORNEYS AND CONTRACTORS. TENANT EXPRESSLY WAIVES, TO THE EXTENT ALLOWED BY LAW, ANY CLAIMS UNDER FEDERAL, STATE OR OTHER LAW THAT TENANT MIGHT OTHERWISE HAVE AGAINST LANDLORD, ITS OFFICERS, DIRECTORS, AGENTS, EMPLOYEES, ATTORNEYS AND CONTRACTORS RELATING TO THE CONDITION OF THE PROJECT, PROPERTY, BUILDING OR PREMISES OR THE IMPROVEMENTS OR PERSONAL PROPERTY LOCATED THEREON OR THE PRESENCE IN OR CONTAMINATION OF THE PROJECT OR THE PREMISES BY HAZARDOUS MATERIALS.

50. Substitution. Landlord, at its sole discretion, shall be entitled to cause Tenant to relocate from the Premises to an alternate space, of comparable size and tenant improvements (the "Relocation Space") within the Building (or within a nearby building within the Project, at Landlord's election) at anytime upon prior written notice to Tenant. The reasonable costs actually incurred in connection with the physical relocation of the Tenant to the Relocation Space shall be at the expense of Landlord or the third party tenant replacing Tenant.

IN WITNESS WHEREOF, Landlord and Tenant have executed this Lease in multiple original counterparts as of the day and year first above written.

LANDLORD:

TRANSWESTERN O'CONNOR ROAD BUSINESS PARK, L.P.
By: Transwestern Investment Company, L.L.C., as agent

Address:

5282 Medical Drive, Ste. 140
San Antonio, TX 78229

Name(print): Timothy McChesney
Title: Vice President

TENANT:

TDIndustries, Inc.

Address:

12700 O'Connor Rd.
San Antonio, TX 78233

Name(print): Mike Fitzpatrick
Title: Chief Financial Officer

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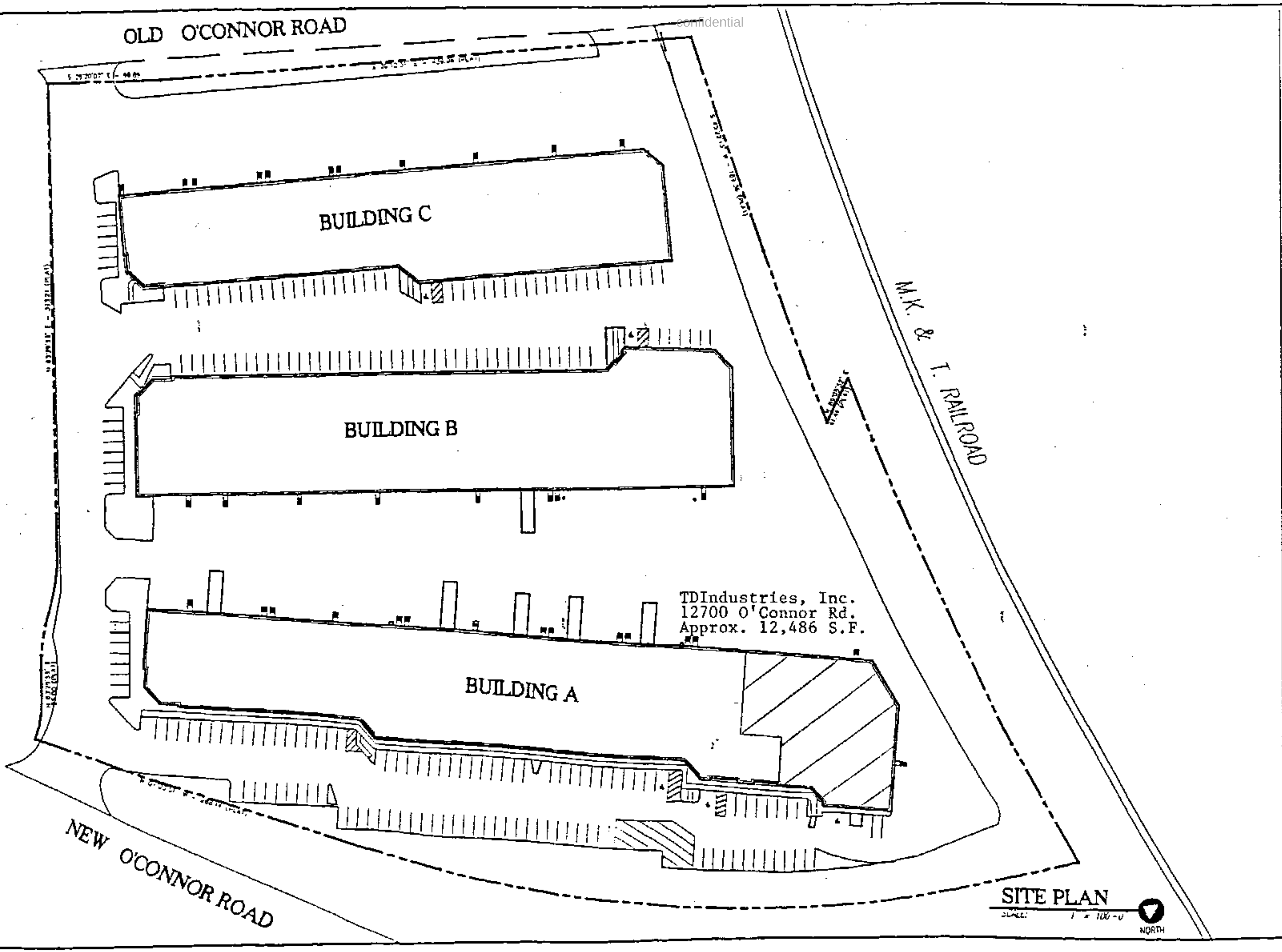
EXHIBIT "A"

A Project known as O'CONNOR ROAD BUSINESS PARK consisting of three (3) buildings totaling approximately 149,783 square feet situated on Lot 3, NCB 15722, in the City of San Antonio, Bexar County, Texas.

Exhibit "B"
Premises




ZAPATA ASSOCIATES

ARCHITECTURE
PLANNING
INTERIOR DESIGN

2318 SAN PEDRO
SAN ANTONIO, TX 78212
210/734/7371
FAX 210/734/2418
EMAIL: zapato@txdirect.net

O'CONNER ROAD
BUSINESS PARK

SAN ANTONIO, TX

10.541 ACRES

DATE:
5/16/98

DRAWN BY:

PROJ. NO.:
98021

A-0

EXHIBIT "B-1"

ONE TIME FIRST RIGHT OF REFUSAL

Landlord and Tenant acknowledge and agree that Tenant shall have the First Right of Refusal to lease ("FRR") for the lease space at #12704 O'Connor Road in accordance with all of the following terms and conditions:

1. Tenant is not in default of this lease agreement.

2. The existing tenant in lease space #12704 is no longer under lease obligation of their respective lease space.

3. The existing tenant in lease space #12704 will not renew, extend, or otherwise choose to lease from Landlord their respective lease space beyond the obligation of their existing lease term.

4. Upon written notification from Landlord to Tenant regarding lease space #12704 becoming available for lease, Tenant shall have the one (1) time opportunity under this Exhibit "B-1" to lease from Landlord lease space #12704, by notifying Landlord in writing within fifteen (15) days of Tenant receiving the above specified notification from Landlord.

5. Tenant agrees to match the specific terms and conditions for lease space #12704 as stipulated in the written notification from Landlord.

6. Within fifteen (15) days of Tenant exercising it's One Time First Right of Refusal as stipulated here, Landlord and Tenant agree to sign a mutually acceptable lease agreement for lease space #12704.

7. If Landlord and Tenant are unable to reach a mutually acceptable fully executed lease agreement within the above specified #6 of this Exhibit "B-1", then all of Tenant's rights under this One Time First Right of Refusal shall become null and void.

EXHIBIT "C"

OPERATING EXPENSE RENTAL

1. In addition to Base Rental, Tenant shall pay to Landlord Tenant's Prorata Share of Operating Expenses for the Project ("Operating Expense Rental"). During each month of the Lease Term, on the same date that installments of Base Rental are due, Tenant shall pay to Landlord in the amount equal to 1/12th of the annual amount, as estimated by Landlord, of Tenant's Prorata Share of Operating Expenses. Payments thereof for any fractional calendar month shall be prorated. Notwithstanding any language in the Lease seemingly to the contrary, if the Project is not fully occupied during any calendar year of the Lease Term, actual Operating Expenses for purposes of this Exhibit "C" shall be determined as if the Project had been fully occupied during such year. Prior to January 1 of each calendar year during Tenant's occupancy or as soon thereafter as practical, Landlord shall make a good faith estimate of the Operating Expense Rental for each upcoming calendar year and, upon prior written notice to Tenant, shall require the monthly payment of Operating Expense Rental to be adjusted in accordance with such estimate. Landlord shall have the right from time to time during any such calendar year to revise the estimate of the Operating Expense Rental for such year and provide Tenant with a revised statement therefor, and thereafter the amount Tenant shall pay each month shall be based upon such revised estimate. Any amounts paid based on any estimate shall be subject to adjustment pursuant to Paragraph 2 below when actual Operating Expenses are available for such calendar year.

2. As soon as is practical following the end of each calendar year during Tenant's occupancy Landlord shall furnish to Tenant a statement of Landlord's actual Operating Expenses for the previous calendar year. If for any calendar year Operating Expense Rental collected for the prior year, as a result of Landlord's estimate of Operating Expenses, is in excess of the Operating Expense Rental actually due during such prior year, then Landlord shall refund to Tenant any overpayment (or at Landlord's option, apply such amount against rentals due or to become due hereunder). Likewise, Tenant shall pay to Landlord, on demand, any underpayment with respect to the prior year whether or not the Lease has terminated prior to receipt by Tenant of a statement for such underpayment.

3. "Operating Expenses" shall mean all costs, expenses and disbursements of every kind (subject to the limitations set forth below) which Landlord incurs, pays or becomes obligated to pay in connection with the ownership, lease, operation, repair, control of access and maintenance of the Project. Operating Expenses shall be computed on an accrual basis and shall be determined in accordance with generally accepted real estate accounting practices, as more fully described in this section, which shall be consistently applied. Operating Expenses shall include, but shall not be limited to, the following:

(a) All labor costs for Landlord's employees performing services required or utilized in connection with the operation, repair, maintenance and landscaping of the Project, including but not limited to amounts incurred for professional training, wages, salaries and other compensation for services, payroll, social security, unemployment and other similar taxes, workmen's compensation insurance, disability benefits, pensions, hospitalization, and retirement plans and group insurance.

(b) All management fees, including those paid to any affiliate of Landlord, or if there is no specific manager and management fees, an administration fee of fifteen (15) percent of (other) Operating Expenses (payable to Landlord) and all fees for legal and accounting services incurred for the general benefit of tenants in the Project.

(c) All rental and/or purchase costs of materials, supplies, hand tools and equipment used in the operation, repair, replacement and maintenance of the Project.

(d) All amounts charged to Landlord by contractors and/or suppliers for services, materials, equipment and supplies furnished in connection with the operation, repair, maintenance and replacement of any part of the Project.

(e) All premiums and deductible costs paid by Landlord associated with fire and extended coverage insurance, earthquake and extended coverage insurance, liability and extended coverage insurance, rental loss insurance, and other insurance customarily carried from time to time by lessors of comparable projects or required to be carried by Landlord.

(f) Charges for all utilities, but excluding those charges for which tenants are individually responsible.

(g) Taxes and all professional fees associated with the monitoring and payment of such taxes, including (i) all real estate taxes and assessments on the Project or the Premises, and taxes and assessments levied in substitution or supplementation in whole or in part of such taxes, (ii) all personal property taxes for the Building's personal property, including license expenses, (iii) all franchise fees, (iv) all taxes imposed on services of Landlord's agents and employees, and (v) all other taxes, fees or assessments now or hereafter levied by any governmental authority on the Project or its contents or on the operation and use thereof (except as relate to specific tenants), but excluding income taxes.

(h) Cost of all maintenance, service and/or landscaping agreements entered into by Landlord with respect to the Project.

(i) Cost of all other repairs, replacements and general maintenance of the Project incurred by Landlord and neither specified above nor directly billed to tenants.

(j) Amortization of all capital improvements or repairs made to the Project subsequent to the Commencement Date to maintain, repair or replace portions of the Project including without limitation paving and parking areas, roads, roofs, alleys and driveways and/or which are otherwise for purpose of reducing Operating Expenses, improving the operating efficiency of the Project or which are required to comply with any change in the laws, rules or regulations of any governmental authority or which will extend the life of the Building. At Landlord's sole election, these costs shall be amortized over the useful economic life of such improvements without regard to the period over which such improvements may be depreciated for federal income tax purposes, or shall be amortized up to the extent that the capital improvements reduce operating expenses for that year.

Operating Expenses shall not include repairs and general maintenance paid from proceeds of insurance or by a tenant or other third parties, and alterations attributable solely to individual tenants of the Project. Further, Operating Expenses shall not include depreciation, interest, lease commissions, advertising and marketing costs, and principal payments on mortgage and other non-operating debts of Landlord.

EXHIBIT "D"

WORK LETTER AGREEMENT
(Tenant Buildout)

This Work Letter Agreement supplements and is hereby incorporated in that certain lease (hereinafter referred to as the "Lease") dated and executed concurrently herewith by and between Transwestern O'Connor Road Business Park, L.P. (hereinafter referred to as "Landlord") and TDIndustries, Inc., (hereinafter referred to as "Tenant") with the terms defined in the Lease to have the same definition where used herein.

1. The Premises are leased to Tenant in their "AS IS" condition and this Work Letter Agreement is intended to set forth the obligations of Landlord and Tenant with respect to the preparation of the Premises for Tenant's occupancy. All improvements described in this Work Letter Agreement to be constructed in and upon the Premises are hereinafter referred to as the "Tenant Improvements." It is agreed that construction of the Tenant Improvements will be completed in accordance with the procedures set forth in this Work Letter Agreement. All work required to construct and install the Tenant Improvements is referred to herein as "Tenant's Work".

2. Tenant shall provide to Landlord the plans and specifications for Tenant's Work. Landlord shall notify Tenant of its approval or disapproval of such plans and specifications within 10 days after its receipt of same. In the event Landlord disapproves of such plans, Tenant shall modify such plans in accordance with Landlord's comments and resubmit them for Landlord's approval within 10 days after Tenant's receipt of Landlord's disapproval. Tenant shall cause the contractors chosen by Tenant and approved in writing by Landlord ("Tenant's Contractors") to construct Tenant's Work in substantial accordance with the plans and specifications approved by Landlord in accordance with this Work Letter (the "Plans"), and shall not make or agree to any material changes in the Tenant's Work as described therein without obtaining the prior written approval of Landlord. Tenant acknowledges and agrees that (i) Landlord's prior approval of the Plans is solely for the protection of Landlord's interest in the Premises and is not a warranty or representation of any kind including, without limitation, that the Plans comply with any or all applicable laws, ordinances, rules or regulations or that the Plans represent good or workmanlike quality and (ii) that Tenant may not rely on Landlord's approval of such Plans in order to satisfy any or all of its obligations under the Lease to which this Work Letter relates.

3. Tenant shall be responsible for obtaining at its expense any required building permit, and shall furnish to Landlord a copy of same before Tenant's Contractors commence construction of Tenant's Work.

4. Prior to the commencement of the Tenant's Work, Tenant shall give Landlord proof satisfactory to Landlord of Tenant's financial ability to complete and fully pay for Tenant's Work to the extent the cost thereof exceeds the Allowance (as hereinafter defined). Upon completion of Tenant's Work, and the delivery by Tenant to Landlord of an unconditional certificate of occupancy and lien waivers and an affidavit of bills paid (all in form and substance acceptable to Landlord), Landlord shall pay to Tenant (or directly to Tenant's Contractors, at Landlord's option) the "Allowance," which shall be the lesser of (a) the cost of Tenant's Work or (b) $__*__ per square foot of Rentable Area in the Premises. In no event shall Tenant be entitled to any rent credit or payment for any unused portion of the Allowance. * See EXHIBIT D-2

5. The Tenant's Work shall be performed in compliance with all applicable laws, orders, regulations and requirements of all governmental authorities, Landlord's insurance carriers, and the board of fire underwriters having jurisdiction.

6. Tenant's Contractors shall comply at all times with the following construction rules, as same may be modified from time to time upon notice from Landlord:

(i) Check-in

Tenant's Contractors shall check-in with the project coordinator from time to time designated by Landlord (hereinafter referred to as the "Project Coordinator") and shall not start work until it has:

(A) delivered to the Project Coordinator proper evidence of required insurance coverage;

(B) delivered to the Project Coordinator names and phone numbers (office and home) of its supervisory personnel;

(C) delivered to the Project Coordinator names and phone numbers of prime subcontractors;

(D) acknowledged receipt of information concerning all concealed piping, conduit, etc., which is installed within or above the Premises; and

(E) acknowledged receipt of and agreed to abide by the provisions of these Work Rules.

(ii) Insurance Requirements

(A) Tenant's Contractors shall provide evidence of the following in-force insurance coverage before commencing any work in the Building:

General Liability Insurance:
Bodily Injury 100,000/300,000 (per occurrence)
Property Damage 100,000 (per occurrence)

Worker's Compensation/Employer's Liability:
Insuring Tenant's Contractors against liability under the Worker's Compensation and Occupational Disease Laws of the State of Texas and Employer's Liability coverage with a $500,000 limit for

(i) claims under workers' or workmen's compensation, disability benefit and other similar employee benefit acts; and

(ii) claims for damages because of bodily injury, occupational sickness or disease, or death of Tenant's Contractors' employees.

Builder's Risk Insurance:
Multi-peril, in full amount of the Tenant's Work

(B) All policies shall name the Landlord and, upon request, Landlord's mortgagee as "additional insureds" as their interests appear.

(C) All policies shall provide for ten days prior written notice of expiration or cancellation to the additional insureds.

(D) All policies shall contain an express waiver of subrogation by the insurer against Landlord, its agents, employees, affiliates and contractors.

(iii) Work Area

Tenant's Contractors shall confine their work, storage of materials, construction office, etc., to the Premises or such other areas as may be designated by the Project Coordinator from time to time.

(iv) Deliveries

Deliveries will be made through designated entrances and routes only. The Project Coordinator will establish delivery routes and storage areas which may be changed from time to time.

(v) Service Areas

Service areas shall be kept clear of materials, equipment, debris, and trash at all times.

(vi) Trash Removal

Tenant, Tenant's Contractors and all subcontractors and suppliers shall remove trash and construction debris from the Premises daily. If Landlord so elects, accumulations of Tenant trash and debris within the Premises, or elsewhere in the Building will be removed by the Landlord at Tenant's expense.

(vii) Parking

Parking for construction personnel will be permitted only in areas designated by the Project Coordinator.

(viii) Fire Protection

Tenant's Contractors shall provide fire extinguishers within the Premises as required by Landlord's insurance company and/or public safety officials and as approved by the Project Coordinator.

(ix) Work Practices

All work practices of and personnel performing work for Tenant's Contractors must be compatible and coordinated with the practices and personnel employed by Landlord and its contractors. Upon notice that any work practices or personnel are not compatible or coordinated the Tenant shall be responsible for either the immediate termination of said practices and removal of said personnel from the Building, or for the immediate coordination of such practices and personnel with those of Landlord and its contractors.

(x) Protection of Work and Property

Tenant and Tenant's Contractors shall protect their work from damage and shall protect the work of other tenants and Landlord from damage by Tenant, Tenant's Contractors and their employees end subcontractors.

(xi) Strictly Prohibited Work and Practices:

(A) Any combustible materials above finished ceiling or in any other concealed, non-sprinklered space;

(B) Imposing any structural load, temporary or permanent, on any part of the Landlord's Work or structure without the prior written consent of Landlord's Project Coordinator;

(C) Cutting any holes in Landlord-installed floor slabs, roof, or walls.

7. Upon completion of the Tenant's Work, the Tenant shall (i) provide to Landlord an affidavit executed by an officer of Tenant that all bills in connection with Tenant's Work have been paid and a waiver of lien from each Tenant's Contractor, materialman and subcontractor pertaining to the Tenant's Work, in form approved by Landlord and (ii) pay to Landlord a construction oversight fee in an amount equal to N/A percent of the cost of Tenant's Work.

8. Tenant shall indemnify and hold harmless Landlord from all claims, causes of action, liens, costs, losses, damages and attorney's fees incurred by Landlord in connection with or arising out of the performance of the Tenant's Work. Without limitation of the foregoing, Tenant shall indemnify and hold harmless Landlord from all claims, causes of action, costs, losses, damages and attorneys fees incurred by Landlord as a result of or in connection with a failure of Tenant's Contractors to comply with the requirements of this Work Letter. If, because of any actual or alleged act or omission of Tenant or Tenant's Contractors any lien, affidavit, charge or order for the payment of money shall be filed against the Landlord, the Building, the Premises or any portion thereof or interest therein, whether or not same is valid or enforceable, Tenant shall, at its own cost and expense, cause same to be discharged of record by payment, bonding or otherwise, at the option of Landlord, no later than ten days after notice to Tenant of the filing thereof, but in all events prior to foreclosure thereof. In the event that Tenant shall fail to comply with the foregoing sentence, Landlord shall have the right, but not the obligation to discharge such lien, affidavit, charge or order in any manner which it deems appropriate in its sole discretion, and any costs incurred by Landlord in connection therewith shall be deemed to be Rent for all purposes under the Lease to which this Work Letter relates, and shall be due and payable by Tenant to Landlord immediately upon written notice from Landlord to Tenant of any such amounts so expended by Landlord.

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# EXHIBIT "D-1"

1. The Building Standard (herein so called) materials are the following (provided that, in Landlord's discretion, Landlord may substitute items or otherwise change specifications):

| | | |
|---|---|---|
| A. | FLOORING: | Grade and quality of carpeting to be selected by Tenant with color to be selected by Tenant from those offered by Landlord. |
| B. | WINDOW COVERING: | At Tenant's option, miniblinds or drapes in Landlord's uniform color. |
| C. | CEILING: | Acoustical tiles - Grid system. |
| D. | PARTITIONS: | Sheetrock partitions with tape, bed, texture and paint finish. |
| E. | DOORS: | Solid core door with metal frame and hardware. |
| F. | LIGHT SWITCHES: | Single pole light switches. |
| G. | TELEPHONE FACILITIES: | Standard unwired telephone outlets (ring and string) mounted on partitions. Tenant must make timely arrangements for telephone installation and is responsible for all charges related to such installation. |
| H. | LIGHT FIXTURES: | Recessed fluorescent lighting fixtures. |

EXHIBIT "D-2"

Landlord agrees to provide Tenant an allowance (the "Allowance") of $5.21 per square foot of Rentable Area in the Premises (which for purposes hereof is agreed to be 12,486 square feet), being the total sum of $65,052.06 toward the cost of the Tenant Improvements. Tenant shall not be entitled to any credit for any amount not applied to the cost of the Tenant Improvements. In the event the Allowance shall not be sufficient to complete the improvements contemplated by the approved plans, Tenant shall pay the Excess Costs as prescribed in Exhibit "D".

Landlord shall release to Tenant the allowance no later than thirty (30) days after such time as Tenant has provided Landlord with all of the following:

(a) Certificate of Occupancy (copy) on Premises;

(b) Final lien waivers from all vendors, contractors and suppliers hired by Tenant and having performed the improvements in the Premises;

(c) Copies of receipts, invoices or other such billings to Tenant for work done, supplies or materials installed in Premises as evidence of total cost of improvements;

(d) Completion of a walk-through of Premises by Landlord or Landlord's representative and Tenant, with the City of San Antonio and approved plans for improvements.

EXHIBIT "E"

RULES AND REGULATIONS

4. Tenant will provide a list of all contractors, contractors' representatives and installation technicians other than those performing routine or customary repair and maintenance services for Tenant to Landlord before performance of any such contractual services. Tenant, its agents or employees shall not mark, paint onto, or cut into, or in any way deface any part of Leased Premises or Project without consent of Landlord.

5. Only signs that conform with guidelines as prescribed by Landlord will be allowed on the exterior of the Project. No signs will be permitted on any outside window of the building or designating any exclusive parking space.

6. Tenant shall not place, install, or operate in any part of the Project any stove or cooktop surface without the prior written consent of the Landlord.

7. Landlord will not be responsible for any lost or stolen personal property, equipment, money, or jewelry from the Leased Premises or Common Areas.

8. No birds, dogs, cats, or other animals shall be brought into or be kept in or about the Leased Premises or Common Areas of the Project, except those animals, such as seeing eye dogs, which are used by persons who have sight impairments.

9. Tenant, its agents, servants, or employees shall not use the Project or Leased Premises for housing, lodging, or sleeping purposes.

10. Tenant may not park or store inoperable or abandon cars, trucks, recreational vehicles or trailers upon the common parking areas or loading areas. All cars, trucks, recreational vehicles or trailers which, in Landlord's sole opinion, are unsightly or deemed to be a nuisance to other tenants and are not moved to a location designated by the Landlord or removed from the Premises within three (3) days after Landlord's written request for removal to Tenant may be removed from the Premises and stored at Tenant's expense.

11. Landlord reserves the right to amend these Rules and Regulations and to make such other and further reasonable Rules and Regulations as in its judgement may from time to time be needed and desirable, so long as same do not substantially affect Tenant's ability to conduct its business activities. Landlord shall notify Tenant of any changes in these Rules and Regulations by mailing amended Rules and Regulations to the Tenant's notification address stated here in this Lease.

12. Tenant shall not allow the playing of tape recorders, records, televisions, or radios at a volume which would disturb other tenants located within the Project.

13. Tenant shall not allow, cause, or permit to be caused odors, fumes, or gases to be emitted which are a nuisance to neighboring tenants.

14. The use of alcoholic beverages on the Premises is specifically prohibited.

EXHIBIT "G"

PARKING AGREEMENT

In addition to the existing automobile parking at the center, Landlord will, at Landlord's sole cost, provide an additional 30 parking spaces on the east end of the center in close proximity to the Premises on or before the commencement date of this Lease Agreement.

EXHIBIT "H"

RENEWAL OPTION

Provided that no event of default or sublease has ever occurred under any term or provision contained in this Lease and no condition exists which with the passage of time or the giving of notice or both would constitute an event of default pursuant to this Lease and provided that Tenant has continuously occupied the Premises for the Permitted Use during the Lease Term, Tenant (but not any assignee or subtenant) shall have the right and option (the "Renewal Option") to renew this Lease, by written notice delivered to Landlord no later than nine (9) months prior to the expiration of the initial Lease Term, for an additional term (the "Renewal Term") of sixty (60) months under the same terms, conditions and covenants contained in the Lease, except that (a) no abatements or other concessions, if any, applicable to the initial Lease Term shall apply to the Renewal Term; (b) the Base Rental shall be equal to the market rate for comparable industrial/service space located in the relevant market area as of the end of the initial Lease Term as determined by Landlord, (c) Tenant shall have no option to renew this Lease beyond the expiration of the Renewal Term; and (d) all leasehold improvements within the Premises shall be provided in their then existing condition (on an "as is" basis) at the time the Renewal Term commences. Failure by Tenant to notify Landlord in writing of Tenant's election to exercise the Renewal Option herein granted within the time limits set forth for such exercise shall constitute a waiver of such Renewal Option. In the event Tenant elects to exercise the Renewal Option as set forth above, Landlord shall, within thirty (30) days thereafter, notify Tenant in writing of the proposed rental for the Renewal Term (the "Proposed Renewal Rental"). Tenant shall within thirty (30) days following delivery of the Proposed Renewal Rental by Landlord notify Landlord in writing of the acceptance or rejection of the Proposed Renewal Rental. If Tenant accepts Landlord's proposal, then the Proposed Renewal Rental shall be the rental rate in effect during the Renewal Term. Failure of Tenant to respond in writing during the aforementioned thirty (30) day period shall be deemed an acceptance by Tenant of the Proposed Renewal Rental. Should Tenant reject Landlord's Proposed Renewal Rental during such thirty (30) day period, then Landlord and Tenant shall negotiate during the thirty (30) day period commencing upon Tenant's rejection of Landlord's Proposed Renewal Rental to determine the rental for the Renewal Term. In the event Landlord and Tenant do not agree in writing to a rental for the Renewal Term during said thirty (30) day period, then the Renewal Option shall terminate and be null and void and the Lease shall, pursuant to its terms and provisions, terminate at the end of the original Lease Term.

Upon exercise of the Renewal Option by Tenant and subject to the conditions set forth hereinabove, the Lease shall be extended for the period of such Renewal Term without the necessity of the execution of any further instrument or document, although if requested by either party, Landlord and Tenant shall enter into a written agreement modifying and supplementing the Lease in accordance with the provisions hereof. Any termination of the Lease during the initial Lease Term shall terminate all renewal rights hereunder. The renewal rights of Tenant hereunder shall not be severable from the Lease, nor may such rights be assigned or otherwise conveyed in connection with any permitted assignment of the Lease. Landlord's consent to any assignment of the Lease shall not be construed as allowing an assignment of such rights to any assignee.